MORTGAGE AND SECURITY AGREEMENT

(With Absolute Assignment of Leases, Rents, Issues and Profits)
PALMETTO GATEWAY PARTNERS LLC, a South Carolina limited liability company, as Mortgagor
to
CALVERLEY HERITAGE BANK, a Georgia state-chartered commercial bank, as Mortgagee

PROPERTY: 520–534 King Street, Charleston, South Carolina 29403 — Lots 7, 8 and 9, Hampstead Village Plat (Plat Book 41, Page 218), together with the vacated Anson Lane strip (Deed Book 1128, Page 443), Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009

LOAN: Calverley Heritage Bank Commercial Real Estate Loan No. 2025-CHS-0047

PRINCIPAL AMOUNT SECURED: $14,750,000.00

MATURITY DATE: April 15, 2030

DATE OF INSTRUMENT: April 15, 2025

TO BE RECORDED in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina
Prepared by: Fielding, Ashworth & Cole LLP, Charleston, South Carolina

DRAFT OF MARCH 28, 2025 — PRIVILEGED AND CONFIDENTIAL — ATTORNEY WORK PRODUCT — SUBJECT TO REVIEW, VERIFICATION AND APPROVAL; NOT FOR EXECUTION

This draft has been prepared by counsel for Mortgagee from Borrower's executed Term Sheet dated April 1, 2025, Title Commitment No. PT-2025-04-1178, and the other transaction materials identified in the accompanying issues memorandum. Items shown in brackets require instruction or confirmation; each is catalogued in the accompanying issues memorandum dated March 28, 2025. Bracketed dates, dollar amounts and recording references must be conformed to the final closing statement, the ALTA/NSPS Survey and the recorded deed at closing.

RECITALS

A. The Loan. Mortgagor has requested that Mortgagee make the Loan to Mortgagor in the original principal amount of $14,750,000, designated Calverley Heritage Bank Commercial Real Estate Loan No. 2025-CHS-0047, the proceeds of which will be used to finance (i) the acquisition of the Land and Improvements from Hampstead Village Holdings LLC, a South Carolina limited liability company, pursuant to a General Warranty Deed to be recorded in the RMC Office simultaneously with this Mortgage, and (ii) the Project. The Loan is evidenced by the Note and is made on the terms and subject to the conditions set forth in the Term Sheet and the other Loan Documents.

B. Disbursement Structure. The Loan proceeds are to be disbursed in two components: (i) the Initial Advance of $12,500,000 at closing, to be applied toward the purchase price for the Property, closing costs and funded reserves; and (ii) the Renovation Holdback of $2,250,000, to be held by Mortgagee and disbursed on a Draw basis in accordance with **Article 10** for Renovation Costs, against a total Approved Renovation Budget of $3,150,000, with the balance of $900,000 of Renovation Costs to be funded by Mortgagor from the Borrower Equity Contribution.

C. Guaranties and Environmental Indemnity. The Loan is additionally secured by the Guaranty Agreement, including the Completion Guaranty and the interest-shortfall payment guaranty, and by the Environmental Indemnity Agreement, in each case executed by Guarantor and, where applicable, Mortgagor, and the obligations of Mortgagor under the Loan Documents are further supported by the Completion Guaranty with respect to completion of the Project.

D. Title. The Title Insurer has issued Commitment No. PT-2025-04-1178, effective February 28, 2025, committing to issue the Title Policy in the amount of $14,750,000 insuring the Lien of this Mortgage as a first-priority lien on the Land and Improvements, subject only to the Permitted Exceptions.

E. Environmental Condition. The Phase I Environmental Site Assessment prepared by Clearfield Environmental Consulting LLC (Report No. CLR-2025-0119,

dated January 28, 2025) identified no Recognized Environmental Conditions and one Controlled Recognized Environmental Condition affecting Lot 7 (Tax Map No. 460-12-04-007), arising from a historical release at the adjoining property municipally known as 518 King Street, which condition has been addressed under SCDHEC oversight through a No Further Action determination dated August 12, 2021 (SCDHEC Site ID SC-29403-0772) and is managed through the Land Use Restriction recorded in Deed Book 1203, Page 89, in the RMC Office. This Mortgage contains express covenants and an Event of Default addressing compliance with the Land Use Restriction, as required by the Title Insurer's special instructions and by **Section 5.4** of the Term Sheet.

F. Purpose of Instrument. This Mortgage is given to secure the Indebtedness, including the Renovation Holdback disbursements, and is intended to constitute (i) a mortgage of real property under the laws of the State of South Carolina, (ii) a security agreement under Article 9 of the UCC, (iii) a financing statement filed as a fixture filing, and (iv) an absolute and present assignment of the Leases, Rents, issues and profits under the South Carolina Uniform Assignment of Rents Act, Chapter 3, Title 29 of the South Carolina Code of Laws, as amended.

NOW, THEREFORE, in consideration of the Loan and the covenants and agreements contained in the Loan Documents, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Mortgagor hereby grants, bargains, sells, conveys, mortgages, pledges, assigns, transfers and sets over to Mortgagee, and grants to Mortgagee a security interest in, all of the following property, rights, interests and privileges, whether now owned or hereafter acquired (collectively, the "**Property**"), TO HAVE AND TO HOLD the same unto Mortgagee, its successors and assigns, upon the terms and conditions of this Mortgage:

ARTICLE 1 — DEFINITIONS AND RULES OF CONSTRUCTION

1.1 Defined Terms. As used in this Mortgage and Security Agreement (this "**Mortgage**"), the following terms have the meanings set forth below. Terms used in this Mortgage that are defined in Article 9 of the Uniform Commercial Code as in effect in the State of South Carolina (the "**UCC**") and that are not otherwise defined in this Mortgage have the meanings given to them in the UCC.

"**Affiliate**" means, with respect to any Person, any other Person that directly or indirectly Controls, is Controlled by, or is under common Control with, such Person. "**Control**" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting interests, by contract, or otherwise.

"**Applicable Rate**" means, for any day, a rate per annum equal to the sum of (a) Daily SOFR for such day (but in no event less than the SOFR Floor), plus (b) two hundred eighty-five basis points (2.85%). Because the SOFR Floor is three percent (3.00%) per annum, the Applicable Rate shall in no event be less than five and 85/100 percent (5.85%) per annum.

"**Approved Renovation Budget**" means the renovation budget for the Project in the aggregate amount of $3,150,000, allocated among line items as set forth in **Exhibit C**, as the same may be revised from time to time only with Mortgagee's prior written consent.

"**Assignment of Rents**" means the absolute and present assignment of Leases, Rents, issues and profits contained in **Article 5** of this Mortgage.

"**Borrower Equity Contribution**" means the sum of $900,000 that Mortgagor is required to contribute from its own funds (and not from the proceeds of the Loan) toward the Renovation Costs, being 28.57% of the Approved Renovation Budget, in accordance with the Draw Schedule attached as part of **Exhibit C**.

"**Business Day**" means any day other than a Saturday, a Sunday, or a day on which commercial banks in Savannah, Georgia or Charleston, South Carolina are authorized or required by law to be closed.

"**Capital Replacement Reserve**" means the reserve account established and maintained with Mortgagee under Section 9.2.

"**Collateral**" means the Property and all other property, real, personal and mixed, tangible and intangible, now owned or hereafter acquired by Mortgagor in which a Lien is granted to Mortgagee under this Mortgage, including, without limitation, all property described in **Article 3**.

"**Completion Guaranty**" means the completion guaranty described in Section 5.5(b) of the Term Sheet, to be executed and delivered by Guarantor in favor of Mortgagee.

"**Condemnation**" means any taking of all or any part of the Property, or of any interest therein or right accruing thereto, by any Governmental Authority, whether by exercise of the power of eminent domain, condemnation, purchase in lieu thereof, or otherwise, and any change of grade or access affecting the Property.

"**Daily SOFR**" means, for any day, the Secured Overnight Financing Rate as published by the Federal Reserve Bank of New York (or a successor administrator) on such Business Day, or, if such rate is not published on such Business Day, the rate published on the immediately preceding Business Day; *provided* that if Daily SOFR is not available for any reason, the rate shall be determined in accordance with **Section 15.11**.

"**Default Rate**" means a rate per annum equal to the Applicable Rate plus five percent (5.00%) per annum, as provided in **Section 15.3**.

"**Draw**" and "**Draw Request**" have the meanings given in **Section 10.3**.

"**Environmental Indemnity Agreement**" means the Environmental Indemnity Agreement of even date herewith executed by Mortgagor and Guarantor in favor of Mortgagee, as the same may be amended, restated, supplemented or replaced from time to time.

"**Environmental Law**" means any federal, state or local statute, regulation, ordinance, order, judgment, permit or common law rule relating to pollution, the protection of human health or the environment, or the use, generation, storage, treatment, transportation, disposal, release or threatened release of Hazardous Materials, including, without limitation, the Comprehensive Environmental Response, Compensation, and Liability Act, 42 U.S.C. §§ 9601 *et seq.*, the Resource Conservation and Recovery Act, 42 U.S.C. §§ 6901 *et seq.*, the Clean Water Act, 33 U.S.C. §§ 1251 *et seq.*, the Clean Air Act, 42 U.S.C. §§ 7401 *et seq.*, the Toxic Substances Control Act, 15 U.S.C. §§ 2601 *et seq.*, and the South Carolina Hazardous Waste Management Act and the South Carolina Pollution Control Act, in each case as amended.

"**Event of Default**" has the meaning given in **Article 12**.

"**Escrow Funds**" means all funds, and all interest and earnings thereon, held by Mortgagee under **Article 9**, the Renovation Holdback, and all other reserves, escrows, deposits and impounds required under any Loan Document.

"**GAAP**" means generally accepted accounting principles in the United States, consistently applied.

"**GC Contract**" means the executed construction contract between Mortgagor, as owner, and Beaufort Builders Group LLC, a South Carolina limited liability company (South Carolina General Contractor License No. SC-GC-47921), as general contractor, in the contract sum of $2,850,000, together with all schedules, exhibits, amendments, change orders and modifications thereto approved by Mortgagee.

"**Governmental Authority**" means the United States, the State of South Carolina, the City of Charleston, Charleston County, and any other federal, state, regional, county, municipal or local government, or any department, agency, commission, board, bureau, court or instrumentality thereof, including, without limitation, SCDHEC, the Charleston County Register of Mesne Conveyances ("**RMC Office**"), and the City of Charleston Board of Architectural Review.

"**Guarantor**" means Neil Ashford Graydon, an individual residing at 14 Church Street, Charleston, South Carolina 29401, and his successors and permitted assigns.

"**Guaranty Agreement**" means the Guaranty Agreement of even date herewith executed by Guarantor in favor of Mortgagee, together with the Completion Guaranty and the interest-shortfall payment guaranty described in Section 5.5(c) of the Term Sheet, as the same may be amended, restated, supplemented or replaced from time to time.

"**Hazardous Materials**" means petroleum and petroleum products, perchloroethylene and other chlorinated solvents, volatile organic compounds, asbestos, polychlorinated biphenyls, radioactive materials, urea formaldehyde, lead-based paint, mold, and any other substance, material or waste that is listed, defined, designated, classified or regulated as hazardous, toxic, a pollutant or a contaminant under any Environmental Law.

"**Impositions**" means all real property taxes, assessments, water and sewer charges, license fees, excises, levies, and other governmental charges of every kind and nature whatsoever, together with all interest and penalties thereon, that may be levied, assessed or imposed upon the Property or upon the Rents or upon Mortgagee by reason of its interest in the Property or this Mortgage.

"**Indebtedness**" means all principal, interest, fees, costs, expenses and other amounts, whether now existing or hereafter arising, that are or become payable by Mortgagor to Mortgagee under the Note or any other Loan Document, including, without limitation, the unpaid principal balance of the Loan, all accrued and unpaid interest thereon (including interest accruing at the Default Rate and, to the extent permitted by applicable law, interest accruing after the commencement of any bankruptcy or insolvency proceeding), the Late Charge, the Yield Maintenance Premium, all advances made by Mortgagee under **Article 11**, and all costs of enforcement, collection, foreclosure and defense.

"**Initial Advance**" means the advance of $12,500,000 of Loan proceeds made by Mortgagee to or for the account of Mortgagor on the Closing Date.

"**Insurance Premiums**" means the premiums for all insurance required to be maintained under **Article 8**.

"**Land**" means the real property described in **Exhibit A**, together with all rights, titles, interests, privileges, easements, hereditaments and appurtenances thereto.

"**Land Use Restriction**" or "**LUR**" means that certain land use restriction and institutional control recorded in Deed Book 1203, Page 89, in the RMC Office, imposed by SCDHEC in connection with SCDHEC Site Identification No. SC-29403-0772 and the No Further Action determination dated August 12, 2021, including each of its terms, conditions and obligations, as more particularly described in **Exhibit E**.

"**Late Charge**" has the meaning given in **Section 15.4**.

"**Leases**" means each and every lease, sublease, subsublease, license, concession agreement, occupancy agreement and other agreement, whether written or oral, now or hereafter existing, under which any Person occupies or is entitled to occupy any portion of the Property or is granted any interest in the Property, together with all guaranties, security agreements, letters of credit and other credit support given in connection therewith, including, without limitation, the leases identified in the Rent Roll attached as **Exhibit D**.

"**Lender**" and "**Mortgagee**" mean Calverley Heritage Bank, a Georgia state-chartered commercial bank, insured by the Federal Deposit Insurance Corporation (EIN 58-2947136), with its principal office at 412 Whitaker Street, Savannah, Georgia 31401, and its successors and assigns.

"**Loan**" means the loan in the original principal amount of $14,750,000 made by Mortgagee to Mortgagor under the Note, designated Calverley Heritage Bank Commercial Real Estate Loan No. 2025-CHS-0047.

"**Loan Documents**" means this Mortgage, the Note, the Guaranty Agreement, the Completion Guaranty, the Environmental Indemnity Agreement, the UCC-1 Financing Statement, each agreement, certificate and instrument governing or evidencing any Escrow Fund or reserve (including the Capital Replacement Reserve and the Tenant Improvement and Leasing Commission Reserve), and each other document, instrument, certificate or agreement now or hereafter executed by Mortgagor, Guarantor or any other Person in favor of or delivered to Mortgagee in connection with the Loan, as each may be amended, restated, supplemented or replaced from time to time.

"**Lockout Period**" means the period commencing on the Closing Date and ending on the day immediately preceding the twenty-fourth (24th) monthly anniversary of the date of the Note.

"**Material Adverse Effect**" means any event, circumstance, change or condition that, individually or in the aggregate with other events, circumstances, changes or conditions, has had or would reasonably be expected to have a material adverse effect on (a) the value, ownership, use, occupancy or operation of the Property, (b) the financial condition, business, assets or operations of Mortgagor or Guarantor, (c) the ability of Mortgagor or Guarantor to perform its obligations under the Loan Documents, or (d) the validity, enforceability, perfection or priority of the Lien of this Mortgage or of any other Loan Document.

"**Maturity Date**" means April 15, 2030, or such earlier date on which the entire Indebtedness becomes due and payable, whether by acceleration, prepayment or otherwise.

"**Mortgagor**" and "**Borrower**" mean Palmetto Gateway Partners LLC, a South Carolina limited liability company (South Carolina Secretary of State Filing No. 2024-0011287; EIN 84-6213750), with its principal office at 88 Broad Street, Suite 200, Charleston, South Carolina 29401, and its permitted successors and assigns.

"**Net Operating Income**" means, for any period, the excess, if any, of (a) all gross revenues of Mortgagor derived from the ownership and operation of the Property and actually collected during such period, including base rent, additional rent and expense reimbursements, over (b) all operating expenses of the Property actually paid or accrued during such period in accordance with GAAP, including Impositions, Insurance Premiums, utilities, repairs and maintenance, common area maintenance, management fees not exceeding four percent (4.00%) of gross revenues, legal and accounting fees, and deposits made during such period into the Capital Replacement Reserve. Net Operating Income shall be calculated without deduction for (i) debt service on the Loan, (ii) capital expenditures, (iii) depreciation, amortization or other non-cash charges, (iv) income or franchise taxes, and (v) any expense for which Mortgagor is reimbursed by a Tenant, and shall exclude (A) security deposits, (B) the proceeds of any casualty insurance or Condemnation award, (C) capital contributions and loans to Mortgagor, (D) interest or investment income, and (E) extraordinary or non-recurring items. Gross revenues shall exclude all rent and other amounts payable by any Tenant that is

more than sixty (60) days delinquent, and all rent attributable to free-rent, abated, discounted or other concessionary periods.

"**Note**" means the Promissory Note of even date herewith in the original principal amount of $14,750,000 executed by Mortgagor and payable to the order of Mortgagee, as the same may be amended, restated, extended, renewed or replaced from time to time.

"**Permitted Exceptions**" means those matters described in **Exhibit B** and only those matters, together with such other exceptions to title as Mortgagee may approve in writing in its sole discretion and which are identified in the Title Policy as issued at closing.

"**Person**" means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, unincorporated organization, Governmental Authority or other entity.

"**Project**" means the renovation and improvement of the Improvements in accordance with the Approved Renovation Budget and the Plans and Specifications.

"**Property**" means, collectively, the Land, the Improvements and all other property, real, personal and mixed, tangible and intangible, described in **Article 3**, together with all Rents and other Collateral.

"**Related Entities**" means Guarantor, Graydon Development Group LLC, Tidewater Opportunity Fund II LP, Harborline Capital Advisors LLC, and each Affiliate of any of them.

"**Rent Roll**" means the rent roll and lease abstracts for the Property dated as of March 1, 2025, attached as **Exhibit D**, as the same is updated and certified to Mortgagee from time to time under **Section 7.9**.

"**Rents**" means all rents, issues, profits, revenues, income, royalties, license fees, concession fees, proceeds, issues, and other sums of every kind now or hereafter payable under or in connection with the Leases or the use or occupancy of the Property, together with all security deposits, advance rentals, parking income, percentage rent, expense reimbursements, tax and insurance pass-throughs, and all other charges and recoveries.

"**Renovation Costs**" means all hard and soft costs of the Project, including all amounts payable under the GC Contract, all architectural, engineering, permitting, inspection, construction management and legal costs, all tenant improvement allowances, all leasing commissions, and all contingency amounts, in each case consistent with the Approved Renovation Budget.

"**Renovation Holdback**" means the portion of the Loan proceeds in the amount of $2,250,000 retained by Mortgagee and disbursed on a Draw basis in accordance with **Article 9** and **Article 10**.

"**SCDHEC**" means the South Carolina Department of Health and Environmental Control.

“**SOFR Floor**” means three percent (3.00%) per annum.

“**SPE Covenants**” means the single-purpose entity and separateness covenants set forth in **Section 7.4**.

“**Substantial Completion**” means the completion of all work comprising the Project in accordance with the Plans and Specifications, as certified by Mortgagor’s architect of record, together with the issuance by the City of Charleston of a certificate of occupancy (or an equivalent certificate of completion) for the renovated portions of the Improvements.

“**Substantial Completion Deadline**” means June 15, 2026, being fourteen (14) months after the anticipated Closing Date, subject to extension only as expressly provided in **Section 10.9**.

“**Survey**” means the ALTA/NSPS Land Title Survey of the Land prepared by Cartwright Land Surveying LLC, dated January 15, 2025 (and re-certified to a date within ninety (90) days of the Closing Date), conforming to the 2021 Minimum Standard Detail Requirements for ALTA/NSPS Land Title Surveys and Table A items required by the Title Insurer.

“**Tenant**” means each Person obligated as lessee, tenant, subtenant, licensee or occupant under any Lease.

“**Term Sheet**” means the executed Term Sheet — Commercial Real Estate Loan dated April 1, 2025 between Mortgagor and Mortgagee, Deal Reference CHB CRE Loan No. 2025-CHS-0047.

“**Title Insurer**” means Commonwealth National Title Underwriters Inc., through its authorized agent Prestige Title & Settlement Services LLC.

“**Title Policy**” means the ALTA Loan Policy of title insurance (06-17-06 form with South Carolina modifications) to be issued by the Title Insurer in the amount of $14,750,000 insuring the Lien of this Mortgage as a first-priority lien on the Land and Improvements, subject only to the Permitted Exceptions, together with each endorsement required by Mortgagee, including, without limitation, the zoning, access, survey, comprehensive, future advance, contiguity and (if obtainable) survey/encroachment endorsements required by Section 5.6 of the Term Sheet.

“**Treasury Rate**” has the meaning given in **Section 16.2**.

“**UCC-1 Financing Statement**” means the UCC-1 financing statement naming Mortgagor, as debtor, and Mortgagee, as secured party, to be filed with the South Carolina Secretary of State and recorded as a fixture filing in the RMC Office.

“**Yield Maintenance Period**” means the period commencing on the twenty-fourth (24th) monthly anniversary of the date of the Note and ending on the forty-eighth (48th) monthly anniversary of the date of the Note.

“**Yield Maintenance Premium**” has the meaning given in **Section 16.2**.

1.2 Rules of Construction. In this Mortgage: (a) the words “include,” “includes” and “including” are not limiting; (b) “or” is not exclusive; (c) references to Articles,

Sections and Exhibits are to Articles, Sections and Exhibits of this Mortgage, and the Exhibits are incorporated into and made a part of this Mortgage; (d) headings are for convenience only and do not affect interpretation; (e) references to any statute, regulation or agreement include amendments, restatements, supplements, replacements and successor provisions; (f) "hereof," "herein," "hereunder" and similar terms refer to this Mortgage as a whole; (g) words in the singular include the plural and vice versa; (h) references to "days" mean calendar days unless Business Days are specified; (i) "written" and "in writing" include electronic transmission; and (j) in the event of any conflict between this Mortgage and the Term Sheet, this Mortgage shall control as between the parties, it being acknowledged that this Mortgage has been prepared by counsel for Mortgagee in accordance with Section 14.3 of the Term Sheet.

ARTICLE 2 — MORTGAGE, GRANTING CLAUSE AND LEGAL DESCRIPTION

2.1 Property Mortgaged. Without limiting the generality of the granting clause set forth immediately preceding Article 1, and in addition to the Land and Improvements, this Mortgage encumbers and covers, and Mortgagor hereby mortgages and grants a security interest in, the following:

(a) the fee simple interest in the Land, as more particularly described in **Exhibit A**, together with all Improvements, and all tenements, hereditaments, appurtenances, easements, rights, privileges, reversions, remainders, development rights and all right, title and interest of Mortgagor in and to any streets, ways, alleys, strips or gores of land adjoining the Land, including, without limitation, that certain strip of land formerly known as Anson Lane vacated by City of Charleston Ordinance No. 2019-084 and conveyed to Mortgagor's predecessor in title by quitclaim deed recorded in Deed Book 1128, Page 443, in the RMC Office;

(b) all buildings, structures, improvements, fixtures, building systems and component parts now or hereafter located on, affixed to or used in connection with the Land, including, without limitation, all HVAC equipment and controls, the passenger elevator and all elevator equipment, plumbing, electrical, mechanical, life-safety and fire-protection systems, roof membrane systems, windows, façade elements (including the decorative iron balcony on the King Street elevation), paving, landscaping and lighting;

(c) all personal property, equipment, machinery, furniture, furnishings, trade fixtures, inventory, supplies, tools, materials, appliances and other goods owned by Mortgagor and used in connection with the ownership, operation, renovation, management, leasing or maintenance of the Property, including, without limitation, all equipment and materials delivered to the Property for the Project, whether or not yet installed, and all building materials and construction materials now or hereafter situated on the Land;

(d) all accounts, deposit accounts, chattel paper, instruments, letters of credit, letter-of-credit rights, investment property, moneys, cash and cash equivalents, credits, claims, refunds and deposits, including all Escrow Funds,

all reserves, impounds, escrows and holdbacks established in connection with the Loan, all tenant security deposits (subject to the rights of Tenants), all utility deposits, and all interest and earnings thereon;

(e) all insurance proceeds (including unearned premiums and premium refunds), all judgments, awards and settlements, and all Condemnation awards, damages, compensation and payments arising from or relating to any damage, destruction, taking, injury, diminution in value or other event affecting the Property or any portion thereof, and all rights to receive the same;

(f) all permits, licenses, certificates of occupancy, variances, special exceptions, conditional use approvals, zoning approvals, subdivision and re-plat approvals, entitlements, development rights, impact fee credits, transferable development rights, and other governmental authorizations and rights relating to the Property, and all applications and rights to apply for the same;

(g) all contracts, subcontracts, purchase orders, architect's agreements, engineering agreements, construction management agreements, warranties, guaranties, sureties, bonds, indemnities, claims, causes of action and choses in action relating to the construction, renovation, operation, maintenance, repair, management, leasing or sale of the Property, including, without limitation, all of Mortgagor's right, title and interest in, to and under the GC Contract with Beaufort Builders Group LLC (South Carolina General Contractor License No. SC-GC-47921) and each warranty, guaranty and claim arising thereunder;

(h) all Leases, and all Rents, issues, profits and other income derived from the Property, together with all security deposits, guaranties and credit support given in connection therewith, all of which are hereby absolutely and presently assigned to Mortgagee in accordance with **Article 5**;

(i) all books, records, ledgers, files, computer records, data, drawings, plans, specifications, as-built drawings, construction documents, feasibility studies, appraisals, environmental reports, surveys, test results and other information now or hereafter relating to the Property, whether in tangible or electronic form, and all rights of access to the same;

(j) all tax refunds, tax credits, Imposition refunds and rebates, and all rights to protest or contest Impositions or assessments relating to the Property;

(k) all proceeds, products, substitutions, replacements, additions, accessions, betterments, renewals, offspring and profits of, and all claims arising from damage to or loss of, any of the foregoing; and

(l) all other property, real, personal or mixed, tangible or intangible, now owned or hereafter acquired by Mortgagor and located on, used in connection with, or otherwise relating to the Property.

2.2 Legal Description. The Land is described in **Exhibit A**. The legal description in **Exhibit A** has been derived from the Title Policy commitment and the Survey, and Mortgagor represents that it describes all of the real property constituting the

Property. Mortgagor acknowledges that the Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009 identified in **Exhibit A** are provided for convenience of reference and tax identification only, and that the metes and bounds description in **Exhibit A** controls. If at any time it is determined that the description in **Exhibit A** omits or misdescribes any portion of the Property, Mortgagor shall, upon Mortgagee's request, execute and deliver a confirmatory or corrective instrument in recordable form satisfactory to Mortgagee and the Title Insurer, at Mortgagor's sole cost.

2.3 Estate Mortgaged; Warranties. Mortgagor mortgages and warrants the fee simple estate in the Land and Improvements. Mortgagor represents, warrants and covenants that (a) Mortgagor is, or on the Closing Date will be, the sole fee simple owner of the Property, free and clear of all Liens other than the Permitted Exceptions; (b) Mortgagor has good right, full power and lawful authority to mortgage and grant a security interest in the Property as provided in this Mortgage; (c) Mortgagee shall quietly have, hold and enjoy the Property subject to the Permitted Exceptions; (d) Mortgagor shall and will warrant and forever defend the title to the Property, and the Lien of this Mortgage, against the lawful claims of all Persons whomsoever, subject to the Permitted Exceptions; and (e) no Person other than Mortgagor has any right, title or interest in the Property except for the holders of the Permitted Exceptions and the Tenants under the Leases.

2.4 Habendum and Defeasance. This Mortgage is given as security for the Indebtedness and not as a conveyance, and the fee simple title to the Property remains in Mortgagor, subject to the Lien of this Mortgage and to the rights of Mortgagee under the Loan Documents. If Mortgagor shall pay and perform the Indebtedness and all other obligations of Mortgagor under the Loan Documents as and when the same become due, then this Mortgage shall be void and of no further force or effect, and Mortgagee shall, at Mortgagor's request and expense, release this Mortgage of record in form reasonably satisfactory to Mortgagee and to the Title Insurer.

2.5 Amount Secured. This Mortgage secures the Indebtedness in the original principal amount of $14,750,000, together with all interest thereon (including interest at the Default Rate), the Late Charge, the Yield Maintenance Premium, all advances and readvances made by Mortgagee under this Mortgage or any other Loan Document, all Escrow Funds applied by Mortgagee, all protective advances, and all costs, expenses, damages and liabilities of every kind incurred by Mortgagee in connection with the Loan or the Property, including reasonable attorneys' fees and costs of foreclosure, bankruptcy, collection and appeal. All such amounts are secured by this Mortgage with the same priority as the original principal amount of the Loan to the fullest extent permitted by applicable law, and Mortgagor acknowledges that this Mortgage is given in part to secure present and future advances.

2.6 Permitted Exceptions. The Lien of this Mortgage is a first-priority lien on the Property, subject only to the Permitted Exceptions set forth in **Exhibit B**. Mortgagor shall not, and shall not permit any related Person to, cause, permit, suffer or agree to any Lien on the Property other than the Permitted Exceptions, and shall not modify, extend, renew, expand or increase the burden of any

Permitted Exception without Mortgagee's prior written consent. Without limiting the foregoing, Mortgagor shall not permit any mechanic's, materialmen's, laborer's, architect's, engineer's or other lien or claim for construction or improvement to attach to the Property, and shall keep the Property free of all such Liens, or shall discharge or bond over the same in a manner satisfactory to Mortgagee and the Title Insurer within thirty (30) days after Mortgagor receives notice of the filing thereof.

2.7 Mechanics' Liens and Statutory Rights. Nothing in this Mortgage shall be construed to constitute the consent or request of Mortgagee, express or implied, by inference or otherwise, to any contractor, subcontractor, laborer or materialman for the performance of any labor or the furnishing of any service or material to or for the Property, or to any construction, alteration or repair of the Property by or on behalf of Mortgagor. Mortgagor shall not request, permit or authorize any Person to claim, any mechanic's or materialmen's lien against the Property or the Rents, and Mortgagor shall post and maintain upon the Property all notices required by law to protect Mortgagee's interest.

ARTICLE 3 — SECURITY AGREEMENT AND COLLATERAL

3.1 Security Agreement. This Mortgage constitutes a "security agreement" within the meaning of Article 9 of the UCC and, as it relates to the personal property, fixtures, accounts and other intangible Collateral, is intended to be governed by the UCC as enacted in the State of South Carolina (Title 36, Chapter 9 of the South Carolina Code of Laws, as amended). Mortgagor hereby grants to Mortgagee a continuing security interest in, and pledges and assigns to Mortgagee, all of Mortgagor's right, title and interest in and to all of the Collateral, whether now owned or hereafter acquired, and wherever located, to secure the payment and performance of the Indebtedness.

3.2 Fixture Filing. This Mortgage is to be recorded in the RMC Office and, as to any goods that are or become fixtures, is intended to be effective as a financing statement filed as a fixture filing under the UCC. For purposes of such filing: (a) the "debtor" is Palmetto Gateway Partners LLC, a South Carolina limited liability company, whose chief executive office, mailing address and principal place of business are 88 Broad Street, Suite 200, Charleston, South Carolina 29401, EIN 84-6213750, and whose organizational identification number issued by the South Carolina Secretary of State is 2024-0011287; (b) the "secured party" is Calverley Heritage Bank, a Georgia state-chartered commercial bank, whose mailing address is 412 Whitaker Street, Savannah, Georgia 31401, EIN 58-2947136; (c) the fixtures are or are to be located on the real property described in **Exhibit A**, located in the City of Charleston, County of Charleston, State of South Carolina, as more particularly described in this Mortgage; and (d) this Mortgage is recorded in the real estate records of Charleston County, South Carolina.

3.3 Types of Collateral. The Collateral includes, without limitation, all of the following, whether now existing or hereafter arising: accounts; as-extracted collateral (to the extent applicable); chattel paper; commercial tort claims described on a schedule delivered by Mortgagor and accepted by Mortgagee; deposit accounts; documents; equipment; fixtures; general intangibles; goods;

instruments; inventory; investment property; letter-of-credit rights; money; and all supporting obligations, proceeds, products, accessions and substitutions of or relating to any of the foregoing.

3.4 Purchase-Money and After-Acquired Collateral; No Consent to Encumbrance. Mortgagor shall not create, incur, assume or permit to exist any security interest in, or lien on, any Collateral other than to Mortgagee. If Mortgagor acquires any goods constituting part of the Collateral that are subject to a purchase-money security interest not approved in writing by Mortgagee, the acquisition shall constitute an Event of Default. Mortgagee's security interest attaches automatically to all after-acquired Collateral and to all proceeds without further action by Mortgagor.

3.5 Financing Statements and Perfection. Mortgagor authorizes Mortgagee to file, at Mortgagor's expense, the UCC-1 Financing Statement with the South Carolina Secretary of State, a fixture filing in the RMC Office, and any continuation statements, amendments, protective filings, notices of federal tax lien filings, and such other filings as Mortgagee deems necessary or desirable, including filings in any jurisdiction in which Mortgagor changes its residence, place of organization or location, name or identity or structure. Mortgagor shall (a) maintain its organization under the laws of the State of South Carolina and its principal place of business and chief executive office at the address set forth in Section 3.2, (b) not change its name, identity, type of organization, jurisdiction of organization, organizational identification number or place of business without notifying Mortgagee at least thirty (30) days in advance in writing, and (c) cooperate fully with Mortgagee in all filings and searches necessary to maintain perfection of Mortgagee's security interest with first priority in the Collateral.

3.6 Lender's Right to Possession and Control. Mortgagor shall promptly upon Mortgagee's demand execute and deliver such account control agreements, custodial arrangements, consents, waivers and other documentation as Mortgagee may reasonably require to perfect and protect its security interest in deposit accounts, investment property, letter-of-credit rights and chattel paper. Mortgagor shall deposit all Rents and other income from the Property into an account of Mortgagor maintained in accordance with **Section 7.12** and shall, upon Mortgagee's demand following an Event of Default, deposit all such funds into a controlled account, lockbox or cash collateral account under Mortgagee's sole control; if Mortgagor fails to do so within three (3) Business Days after demand, such failure shall constitute an Event of Default.

ARTICLE 4 — FUTURE ADVANCES AND PRIORITY

4.1 Future Advances. This Mortgage is given to secure not only the Initial Advance but also all future advances and disbursements made by Mortgagee under the Loan Documents, including, without limitation, the Renovation Holdback and all Disbursements made under **Article 10**, and all protective advances made under **Article 11**. All such obligations and advances, whether obligatory or optional, and whether or not made pursuant to a commitment in existence on the date of recording of this Mortgage, together with all interest thereon, shall be secured by

this Mortgage and shall have priority as of the date and time of recording of this Mortgage to the fullest extent permitted by applicable law.

4.2 Renovation Holdback as Obligatory Advance. Mortgagor and Mortgagee acknowledge that the Renovation Holdback constitutes an obligatory advance under a commitment existing at the time this Mortgage is recorded, and that this Mortgage secures the Renovation Holdback with the same priority as the Initial Advance. Mortgagee shall obtain, at Mortgagor's expense, the future advance endorsement of the Title Policy described in Section 5.6 of the Term Sheet. Mortgagor shall not take any position, in any proceeding, inconsistent with the priority of Mortgagee's Lien securing the Renovation Holdback.

4.3 Cross-Default and Cross-Security. A default or event of default under any other Loan Document shall constitute an Event of Default under this Mortgage, and an Event of Default under this Mortgage shall constitute a default under each other Loan Document. Any amounts paid or applied by Mortgagee under any Loan Document shall be deemed applied under all Loan Documents as Mortgagee may elect.

4.4 No Waiver of Priority. No increase in the amount secured, no advance made after the occurrence of an Event of Default, no forbearance, and no other act or omission of Mortgagee shall impair, waive, subordinate or otherwise affect the priority of this Mortgage.

ARTICLE 5 — ABSOLUTE ASSIGNMENT OF LEASES, RENTS, ISSUES AND PROFITS

5.1 Absolute Present Assignment. Mortgagor hereby unconditionally, absolutely and presently grants, bargains, sells, conveys, transfers, assigns and sets over to Mortgagee, without reservation and without any limitation other than as expressly set forth in this Article 5, all of Mortgagor's right, title and interest in, to and under (a) each and every Lease now existing or hereafter arising affecting the Property, including, without limitation, each Lease identified in the Rent Roll, together with all extensions, renewals, amendments, restatements, replacements and guaranties thereof, and (b) all Rents, issues, profits, income, revenues and other sums now or hereafter due, payable or accruing under or with respect to any Lease or the use, occupancy or enjoyment of the Property. This assignment is an absolute and present assignment and not a collateral assignment or an assignment as additional security, and it is effective immediately upon execution of this Mortgage, without regard to any act, event, condition or default, and without the necessity of any further instrument or action by Mortgagor. This assignment is intended to constitute an absolute assignment of rents within the meaning of the South Carolina Uniform Assignment of Rents Act, Chapter 3, Title 29 of the South Carolina Code of Laws, as amended (the "**Assignment of Rents Act**").

5.2 Perfection; Authority to Assign. Mortgagor acknowledges that, under the Assignment of Rents Act, this assignment of Rents is perfected upon recording of this Mortgage in the RMC Office, and that Mortgagee's right to enforce the assignment, including its right to collect the Rents, arises upon the occurrence and during the continuance of an Event of Default and upon written notice to the

applicable Tenants. Mortgagor represents, warrants and covenants that (a) it is the owner of and has the full right, power and authority to absolutely and presently assign each Lease and all Rents; (b) it has not previously assigned, pledged, hypothecated or otherwise encumbered any Lease or any Rents, and has granted no Person any right to collect any Rents other than the revocable license granted in **Section 5.3**; (c) each Lease is in full force and effect, and neither Mortgagor nor, to Mortgagor's knowledge, any Tenant is in default thereunder; (d) no Rents have been prepaid more than one (1) month in advance other than as disclosed in the Rent Roll; and (e) specifically and without limitation of the foregoing, Mortgagor has the full right and authority to absolutely assign all Rents under that certain lease with Lowcountry Provisions Inc. (Bay 1, 520 King Street), notwithstanding that such Lease contains no assignment or subletting provision.

5.3 Revocable License to Mortgagor. So long as no Event of Default has occurred and is continuing, Mortgagor shall have a revocable, non-assignable license to collect, use and enjoy the Rents in the ordinary course of the operation of the Property, subject to the terms of the Loan Documents. The license granted in this Section 5.3 is granted solely for the purpose of permitting Mortgagor to operate the Property and is not a retransfer or reassignment of the Rents. The license shall be deemed revoked automatically, without further notice, upon the occurrence of an Event of Default, and Mortgagee may, in addition, revoke the license by written notice to Mortgagor.

5.4 Enforcement Upon Default. Upon the occurrence and during the continuance of an Event of Default, and upon written notice from Mortgagee to the Tenants (or any of them), Mortgagee shall be entitled, without the necessity of obtaining a court order, appointing a receiver or taking any other action, to (a) collect all Rents directly from the Tenants, (b) enforce the Leases and institute and prosecute all proceedings in the name of Mortgagor or Mortgagee, as Mortgagee may elect, for the collection of Rents, the enforcement of any Lease, the eviction of any Tenant, the recovery of possession or the protection or preservation of the Property, (c) settle, compromise, release, extend or modify in any respect any claim or right under any Lease, in Mortgagee's sole discretion, and (d) do all such other acts and things as Mortgagee may deem necessary or advisable to enforce the assignment made in this Article 5. Mortgagor hereby irrevocably constitutes and appoints Mortgagee as Mortgagor's attorney-in-fact, coupled with an interest, with full power of substitution, for the purposes described in this Section 5.4, which power of attorney may be exercised only upon and during the continuance of an Event of Default. Each Tenant is hereby authorized and directed, upon receipt of written notice from Mortgagee, to pay all Rents directly to Mortgagee or its designee, and Mortgagor hereby irrevocably authorizes and directs each Tenant so to pay, and agrees that any payment made in accordance with such notice shall discharge the Tenant's obligations with respect to such amounts.

5.5 Tenants Protected; No Liability of Mortgagee. No Tenant shall be liable to Mortgagor for any Rents paid to Mortgagee in accordance with this Article 5. Mortgagee shall have no obligation to perform any obligation of Mortgagor as landlord under any Lease, to pay or discharge any operating expense, or to maintain or repair the Property, unless and until Mortgagee has actually entered

into possession of the Property, and Mortgagor shall remain solely responsible for all landlord obligations under the Leases. The exercise by Mortgagee of any right under this Article 5 shall not constitute an assumption by Mortgagee of any obligation of Mortgagor under any Lease, shall not constitute Mortgagee a mortgagee in possession with respect to obligations to Tenants, and shall not be deemed to constitute an attornment by any Tenant to Mortgagee.

5.6 Subordination of Leases; Estoppels; SNDAs. Each Lease now or hereafter existing is and shall be subject and subordinate to this Mortgage and to all renewals, extensions, modifications and consolidations hereof, and Mortgagee may, at its election, require that any Lease be so subordinated in form reasonably acceptable to Mortgagee, *provided* that Mortgagee shall, upon the request of Mortgagor, enter into a commercially reasonable subordination, non-disturbance and attornment agreement ("**SNDA**") with any Tenant that is not in default under its Lease, in form reasonably acceptable to Mortgagee. Mortgagor shall use commercially reasonable efforts to obtain, and shall deliver to Mortgagee within the applicable time period, (a) an estoppel certificate from each Tenant in accordance with Section 12.1 of the Term Sheet, and (b) an executed SNDA from each Tenant in accordance with Section 12.1 of the Term Sheet. Mortgagor acknowledges that the leases identified on the Rent Roll with Harmon & Wren Design Studio LLC and Tidemark Consulting Group LLC each contain a subordination and estoppel provision, and that the lease with Lowcountry Provisions Inc. contains neither an assignment or subletting provision nor an estoppel certificate or SNDA obligation. Accordingly, Mortgagor shall (i) cause Lowcountry Provisions Inc. to deliver an estoppel certificate and an SNDA as a condition to closing, and (ii) thereafter use commercially reasonable efforts to obtain, at the next renewal, extension or amendment of the Lowcountry Provisions Inc. lease (and in any event no later than the tenant's exercise of its renewal option, for which notice is due on or before March 31, 2027), a lease amendment adding customary assignment and subletting provisions, a consent to this assignment of Rents, an estoppel certificate obligation and an SNDA obligation, in form and substance reasonably satisfactory to Mortgagee, and shall deliver a copy of each such amendment to Mortgagee within five (5) Business Days after execution.

5.7 Security Deposits. Mortgagor shall hold all security deposits and advance rentals in trust for the Tenants under the applicable Leases and shall not apply any security deposit except in accordance with the applicable Lease and applicable law. Mortgagor acknowledges that security deposits remain the property of the Tenants and are not the property of Mortgagee; the Lien and assignment granted under this Mortgage extend to Mortgagor's interest in such deposits, subject in all respects to the rights of the Tenants. Upon Mortgagee's request following an Event of Default, Mortgagor shall deliver to Mortgagee an accounting of all security deposits held, together with all documentation necessary to transfer such deposits (or the obligation to return them) to Mortgagee or to a successor owner of the Property.

5.8 New Leases. All Leases hereafter executed by Mortgagor shall be subject in all respects to this Mortgage and to the Assignment of Rents Act and shall, unless

Mortgagee otherwise consents in writing, contain a provision (a) subordinating the Lease to this Mortgage and to any renewals, extensions and modifications thereof, (b) requiring the Tenant to attorn to any purchaser at foreclosure or to any successor owner of the Property, (c) requiring the Tenant to deliver estoppel certificates within ten (10) Business Days of request, and (d) requiring the Tenant to pay all Rents to Mortgagee upon notice following an Event of Default. Mortgagor shall deliver a fully executed copy of each Lease, and of each amendment, renewal, extension, termination or surrender thereof, to Mortgagee within ten (10) Business Days after execution or receipt, as required by Section 7.3(e) of the Term Sheet and **Section 7.9**.

5.9 No Merger; Continuing Assignment. This Article 5 shall not merge with or into any decree of foreclosure, any deed given in lieu of foreclosure, or any other instrument, and shall remain in full force and effect until the Indebtedness has been paid in full and this Mortgage has been released of record. No collection of Rents by Mortgagee, and no application of Rents to the Indebtedness, shall cure any Event of Default, satisfy any provision of this Mortgage, or affect the Lien of this Mortgage on the Property.

ARTICLE 6 — REPRESENTATIONS AND WARRANTIES

Mortgagor represents and warrants to Mortgagee as of the Closing Date and (except as to matters expressly stated as of a specified date) as of each date on which any Draw is made:

6.1 Organization; Authority. Mortgagor is a limited liability company duly organized, validly existing and in good standing under the laws of the State of South Carolina (Secretary of State Filing No. 2024-0011287), and is duly qualified to do business in each jurisdiction in which the nature of its business or the ownership of the Property requires qualification. Mortgagor has full power and authority to own the Property, to carry on its business as presently conducted and as contemplated by the Project, and to execute, deliver and perform this Mortgage and each other Loan Document to which it is a party. The execution, delivery and performance of this Mortgage have been duly authorized by all requisite limited liability company action, and no consent, approval, authorization or vote of any member or manager of Mortgagor is required that has not been obtained, other than as disclosed to Mortgagee in writing.

6.2 Enforceability; No Conflicts. This Mortgage and each other Loan Document to which Mortgagor is a party constitute the legal, valid and binding obligations of Mortgagor, enforceable against Mortgagor in accordance with their respective terms, subject only to applicable bankruptcy, insolvency, reorganization, moratorium and similar laws affecting creditors' rights generally and to general principles of equity. The execution, delivery and performance of this Mortgage do not and will not (a) violate any provision of Mortgagor's certificate of formation, operating agreement or other organizational documents, (b) violate any law, ordinance, order, judgment or decree applicable to Mortgagor or the Property, (c) result in a breach of or default under, or require any consent under, any indenture, agreement or instrument to which Mortgagor is a party or by which the Property is

bound, including any Lease or the GC Contract, or (d) result in the creation or imposition of any Lien on the Property other than in favor of Mortgagee.

6.3 Title; Permitted Exceptions. Mortgagor is, or upon recording of the deed described in Recital A will be, the sole fee simple owner of the Land and Improvements, free and clear of all Liens and encumbrances other than the Permitted Exceptions. Mortgagor has not granted any mortgage, deed of trust, deed to secure debt, security interest, pledge, judgment lien, or other Lien or encumbrance affecting the Property, the Leases, the Rents or any membership interest in Mortgagor, other than the Permitted Exceptions.

6.4 Leases and Rent Roll. The Rent Roll attached as **Exhibit D** is true, correct and complete in all material respects, and accurately describes each Lease affecting the Property, including the identity of each Tenant, the premises, the term, the base rent and escalations, the security deposit held, each renewal or extension option, each right of first refusal or right of first offer, and each termination right. There are no Leases, tenancies, licenses or occupancies affecting the Property other than those identified in the Rent Roll. No Tenant is more than thirty (30) days delinquent in the payment of rent, and no Tenant has asserted in writing any claim, offset, defense, abatement right or dispute with respect to its Lease. Except for the right of first refusal held by Harmon & Wren Design Studio LLC with respect to Bay 2, no Tenant or other Person holds any option to purchase, right of first refusal, right of first offer or other right to acquire any interest in the Property or any portion thereof, and no Tenant has any right to terminate, cancel or surrender its Lease except as disclosed in the Rent Roll. The only right of first refusal, right of first offer, option or similar right affecting any portion of the Property is the right of first refusal in favor of Harmon & Wren Design Studio LLC described in the Rent Roll with respect to Bay 2 (3,800 square feet).

6.5 Condition of Property. The Improvements are in good order, condition and repair in all material respects, subject to the deferred maintenance items identified in the appraisal prepared by Pinnacle Valuation Services LLC dated February 14, 2025 (File No. PVS-2025-0214-CHS) and to be addressed by the Project. Mortgagor has not received written notice of any structural, mechanical, electrical, plumbing or life-safety defect in the Improvements that has not been disclosed to Mortgagee, and to Mortgagor’s knowledge no such defect exists. To Mortgagor’s knowledge, no portion of the Improvements encroaches upon any adjoining property or upon any easement or right-of-way, except the decorative iron balcony encroachment over the King Street public right-of-way identified as Exception 5 in the Title Commitment and shown on the Survey.

6.6 Compliance with Laws; Zoning; Permits. To Mortgagor’s knowledge, the Property and its use and occupancy comply in all material respects with all applicable laws, ordinances, codes and regulations, including zoning, building, fire, life-safety, accessibility, health and Environmental Laws. The Property is located in the GB (General Business) zoning district of the City of Charleston, and the current use of the Property (ground-floor retail and upper-floor office) is a permitted use in such district. All permits, licenses, certificates of occupancy and approvals necessary for the current use and occupancy of the Property, and for the

performance of the Project, have been obtained or will be obtained in the ordinary course, and are in full force and effect, except as disclosed in writing to Mortgagee.

6.7 Environmental Matters. Except as disclosed in the Phase I Environmental Site Assessment identified in Recital E: (a) to Mortgagor's knowledge, no Hazardous Materials are present on, under, in, at or migrating from the Property in a quantity or condition that violates or would reasonably be expected to violate any Environmental Law; (b) there has been no release, threatened release, spill, discharge or disposal of Hazardous Materials on, under or from the Property; (c) Mortgagor has not received any notice, order, directive, claim, demand or information request from any Governmental Authority or any other Person alleging a violation of any Environmental Law or liability with respect to Hazardous Materials at the Property; (d) there are no underground storage tanks, above-ground storage tanks, sumps, dry wells or septic systems located on the Property; (e) the Property is not listed on any federal, state or local registry or database of hazardous waste sites or contaminated properties, except for the inclusion of SCDHEC Site ID SC-29403-0772 in the SCDHEC records relating to the Controlled Recognized Environmental Condition described in Recital E; (f) Mortgagor has not assumed, by contract or operation of law, any liability of any Person with respect to Hazardous Materials; and (g) the Property and Mortgagor are in compliance in all material respects with the Land Use Restriction, and the ground floor of Lot 7 (Bay 1) is used solely for commercial retail purposes in compliance with the residential use prohibition contained in the Land Use Restriction.

6.8 Insurance. Mortgagor has obtained, or will obtain on or before the Closing Date, each insurance policy required under **Article 8**, and each such policy (a) is issued by an insurer licensed to do business in South Carolina with an A.M. Best rating of not less than A-:VII, (b) names Mortgagee as mortgagee, loss payee and/or additional insured as required, (c) contains a standard mortgagee clause and a thirty (30) day notice of cancellation provision, and (d) is in full force and effect with all premiums paid.

6.9 Financial Statements. Each financial statement, rent roll, operating statement, budget, certificate and other information delivered by Mortgagor or Guarantor to Mortgagee in connection with the Loan is true, correct and complete in all material respects as of its date and has been prepared in accordance with GAAP consistently applied (subject, in the case of interim statements, to normal year-end adjustments and the absence of footnotes), and there has been no material adverse change in the financial condition of Mortgagor or Guarantor since the date of the most recent financial statements delivered.

6.10 Litigation; Condemnation. There is no action, suit, proceeding, arbitration, investigation or inquiry pending or, to Mortgagor's knowledge, threatened against Mortgagor, Guarantor or any Related Entity or affecting the Property that, if adversely determined, would reasonably be expected to have a Material Adverse Effect, and there is no pending or, to Mortgagor's knowledge, threatened Condemnation of any portion of the Property.

6.11 No Default. No event has occurred and is continuing that constitutes, or with notice or lapse of time or both would constitute, an Event of Default or a default under any other Loan Document or under any other material agreement to which Mortgagor is a party.

6.12 Single-Purpose Entity. Mortgagor is, and since its formation on January 12, 2024 has been, a single-purpose entity that has at all times complied with the SPE Covenants. Mortgagor's operating agreement, as amended through the date of this Mortgage (including by an amendment executed by all of its members on or before the Closing Date in form and substance satisfactory to Mortgagee), contains (a) an independent manager or independent director requirement prohibiting the filing of a voluntary petition in bankruptcy, a consent to an involuntary petition in bankruptcy, a dissolution, a merger, a consolidation or a winding up without the affirmative vote of an independent manager who is not affiliated with, and is not compensated by, any member or affiliate of Mortgagor, (b) the separateness covenants described in **Section 7.4**, (c) a single-purpose purpose clause, and (d) a restriction on amendment of the foregoing without Mortgagee's prior written consent. Mortgagor has delivered to Mortgagee a true, correct and complete copy of its operating agreement, as so amended, together with the written consent and joinder of each of its members (Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC) to the SPE Covenants and the transfer restrictions contained in this Mortgage.

6.13 Construction Contract; Renovation Budget. The GC Contract delivered to Mortgagee is a true, correct and complete copy of the executed construction contract between Mortgagor and Beaufort Builders Group LLC, including all schedules, exhibits, amendments and change orders, and there are no side letters, oral agreements or other understandings modifying the GC Contract. The GC Contract provides for a contract sum not exceeding $2,850,000, is in full force and effect, and is not subject to any pending default, termination or claim. The Approved Renovation Budget of $3,150,000 is sufficient, together with the Borrower Equity Contribution, to complete the Project, and Mortgagor has no knowledge of any cost or condition that would cause the total Renovation Costs to exceed the Approved Renovation Budget.

6.14 Anti-Terrorism; OFAC; Anti-Money Laundering. Neither Mortgagor, Guarantor, any Related Entity nor any of their respective members, managers, officers, directors or beneficial owners is (a) a person or entity named on the Specially Designated Nationals and Blocked Persons List maintained by the U.S. Department of the Treasury's Office of Foreign Assets Control ("**OFAC**"), or on any other list of sanctioned or blocked persons maintained by OFAC or any other U.S. Governmental Authority, (b) organized, resident or located in a country or territory that is the subject of comprehensive country-based sanctions administered by OFAC, or (c) engaged in any business or transaction that would violate any applicable anti-money laundering, anti-corruption, anti-bribery or economic sanctions law, including the Bank Secrecy Act, the USA PATRIOT Act, the Foreign Corrupt Practices Act and the rules administered by OFAC.

6.15 ERISA. Mortgagor is not, and is not acting on behalf of, any "employee benefit plan" within the meaning of Section 3(3) of the Employee Retirement

Income Security Act of 1974, as amended, or any "plan" within the meaning of Section 4975 of the Internal Revenue Code of 1986, as amended, and the Property does not constitute "plan assets."

6.16 Brokerage. No broker, finder or other Person is entitled to any commission or fee in connection with the Loan by reason of any act of Mortgagor, other than as disclosed in writing to Mortgagee, and Mortgagor shall indemnify Mortgagee against all claims for any such commission or fee.

6.17 Survival. The representations and warranties in this Article 6 shall survive the closing of the Loan, the making of each Draw and the delivery of any estoppel or certificate, and shall be deemed repeated on the date of each Draw with respect to the matters stated in Section 6.7, Section 6.11 and Section 6.13.

ARTICLE 7 — COVENANTS OF MORTGAGOR

Mortgagor covenants and agrees with Mortgagee as follows, at all times from the Closing Date until the Indebtedness is paid in full and this Mortgage is released of record:

7.1 Compliance with Laws. Mortgagor shall comply, and shall cause the Property to be used and operated in compliance, with all applicable federal, state, county and municipal laws, statutes, ordinances, codes, rules, regulations, orders and permits, including all zoning, building, fire, life-safety, accessibility, health and Environmental Laws, and all requirements of the City of Charleston Board of Architectural Review applicable to the Property. Mortgagor shall promptly deliver to Mortgagee copies of any notice of violation, citation, order or directive received from any Governmental Authority relating to the Property within five (5) Business Days after receipt.

7.2 Maintenance and Repairs; Waste. Mortgagor shall keep and maintain the Property, including all Improvements, fixtures, building systems, structural elements, roof, façade, common areas and appurtenances, in good order, condition and repair, and in a condition consistent with that of comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and shall make all repairs and replacements necessary for that purpose and for compliance with all applicable laws. Mortgagor shall not commit or permit any waste of the Property or any portion thereof, and shall not remove, demolish or materially alter any Improvement without Mortgagee's prior written consent (except as contemplated by the Project). Mortgagor shall not abandon the Property, shall keep the Property fully insured as required by **Article 8**, and shall maintain uninterrupted utility service to the Property.

7.3 Leasing Covenant and Lease Approvals. Mortgagor shall use commercially reasonable efforts to lease all vacant space at the Property at market rents and on terms consistent with those prevailing for comparable mixed-use commercial properties in the Charleston metropolitan area and reasonably acceptable to Mortgagee. Without Mortgagee's prior written consent, which shall not be unreasonably withheld, conditioned or delayed, Mortgagor shall not (a) enter into or modify any Lease (i) covering more than 5,000 square feet of space or (ii) having

a term (including renewal options exercisable at the Tenant's option) exceeding five (5) years; (b) enter into any Lease that contains any right of first refusal, right of first offer, option to expand, option to purchase, right of termination (other than a customary termination right arising from casualty or Condemnation), co-tenancy condition or exclusive use provision; (c) accept any prepayment of Rent more than one (1) month in advance; (d) grant any rent abatement or free rent exceeding three (3) months in the aggregate, or grant any tenant improvement allowance, or pay any leasing commission, other than in accordance with the Approved Renovation Budget or the Tenant Improvement and Leasing Commission Reserve; (e) accept the surrender of any Lease or consent to any assignment or subletting by a Tenant, other than as contemplated by the applicable Lease; or (f) release, reduce or apply any Tenant's security deposit other than in accordance with the applicable Lease. Mortgagor shall deliver to Mortgagee, together with each request for consent, a proposed lease abstract and such financial information regarding the proposed Tenant as Mortgagee may reasonably request.

Tenant right of first refusal. Mortgagor acknowledges that the Lease with Harmon & Wren Design Studio LLC grants that Tenant a right of first refusal with respect to Bay 2 (3,800 square feet), exercisable within fifteen (15) business days after presentation of a bona fide third-party offer, and that such right survives renewal of the Tenant's Lease. Because Mortgagor may not lease Bay 2 without complying with that right, Mortgagor shall, before presenting any third-party offer to such Tenant, obtain Mortgagee's written approval of all of the material terms of the proposed third-party lease (to the extent such approval is required under this **Section 7.3**), and shall deliver to Mortgagee a copy of any offer presented to such Tenant, any exercise or waiver of the right of first refusal, and any resulting Lease, in each case within five (5) Business Days. Mortgagor acknowledges that Mortgagee's approval of the terms of a proposed third-party lease shall not obligate Mortgagee to approve any Lease subsequently entered into with such Tenant at different terms. Nothing in this Section 7.3 shall be construed to expand or validate the scope of the Tenant's right of first refusal beyond its terms as disclosed in the Rent Roll.

7.4 Single-Purpose Entity and Separateness Covenants. Mortgagor shall at all times maintain its status as a single-purpose, bankruptcy-remote entity and shall comply with the following covenants, which are in addition to the covenants set forth in Section 10.1 of the Term Sheet:

(a) Single purpose. Mortgagor shall not engage in any business or activity other than the ownership, acquisition, holding, operation, renovation, leasing, management, financing and disposition of the Property and activities incidental thereto, and shall not acquire or own any asset other than the Property and the assets incidental to its ownership and operation.

(b) Separate books, records and accounts. Mortgagor shall maintain its own separate books of account, accounting records, minute books, financial statements and bank accounts, separate and apart from those of any other Person, and shall not commingle its funds or assets with those of any member, manager, Affiliate or other Person.

(c) Corporate formalities and identity. Mortgagor shall hold itself out to the public, and to all creditors and contractual counterparties, as a legal entity separate and distinct from any other Person, shall conduct its business exclusively in its own name, shall use its own stationery, invoices, purchase orders and checks, and shall not use the letterhead or identity of any Affiliate.

(d) Arm's-length dealings. Mortgagor shall maintain arm's-length relationships with each Related Entity, and any transaction, contract or arrangement between Mortgagor and any Related Entity shall be on commercially reasonable terms and shall be disclosed in writing to Mortgagee.

(e) No guarantees; no affiliate obligations. Mortgagor shall not guarantee or otherwise become obligated for the debts or obligations of any Related Entity or any other Person, and shall not pledge its assets or credit for the benefit of any Related Entity.

(f) Own liabilities. Mortgagor shall pay its own liabilities and expenses from its own funds and assets, and shall not pay the liabilities of any Related Entity or any other Person.

(g) Adequate capitalization. Mortgagor shall maintain adequate capital in light of its contemplated business operations, consistent with **Section 7.8**.

(h) No dissolution, merger or bankruptcy without independent approval. Mortgagor shall not, without the prior written consent of Mortgagee and the affirmative vote of its independent manager or independent director, (i) file a voluntary petition under the United States Bankruptcy Code or any state insolvency law, (ii) consent to the filing of an involuntary petition against it, (iii) dissolve, wind up, liquidate, merge, consolidate or sell all or substantially all of its assets, (iv) make an assignment for the benefit of creditors, or (v) admit in writing its inability to pay its debts generally as they become due.

(i) No amendment of SPE provisions. Mortgagor shall not amend, modify, waive, terminate or repeal any SPE provision of its operating agreement or certificate of formation, or take any action inconsistent with such provisions, without Mortgagee's prior written consent in each instance, and shall promptly deliver to Mortgagee a copy of each amendment to its organizational documents.

(j) Member consent. Mortgagor shall cause each of its members (Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC), and Tidewater GP Holdings LLC, as general partner of Tidewater Opportunity Fund II LP, to acknowledge and agree in writing, in form satisfactory to Mortgagee, to be bound by the SPE Covenants and the transfer restrictions set forth in **Section 7.5**, and shall deliver such acknowledgments, joinders and authorizations (including evidence of the authority of Tidewater GP Holdings LLC to bind Tidewater Opportunity Fund II LP) as a condition to closing and upon the admission of any new member.

(k) Independent manager maintenance. Mortgagor shall at all times maintain an independent manager or independent director meeting Mortgagee's

requirements and shall not permit any vacancy in that position to continue for more than ten (10) Business Days.

7.5 Transfer Restrictions.

(a) Property. Mortgagor shall not, without Mortgagee's prior written consent, sell, convey, transfer, assign, exchange, lease (other than Leases permitted under **Section 7.3**), option, pledge, mortgage, hypothecate, encumber or otherwise dispose of the Property or any portion thereof or any interest therein, whether voluntarily, involuntarily, by operation of law or otherwise.

(b) Interests in Mortgagor. Mortgagor shall not permit any transfer, sale, assignment, pledge, hypothecation, encumbrance, gift, devise, or other disposition of any membership interest in Mortgagor (each, a "**Transfer**") that (i) exceeds ten percent (10%) of the membership interests in Mortgagor individually, or (ii) together with all other Transfers, exceeds twenty-five percent (25%) of the membership interests in Mortgagor in the aggregate, determined from the Closing Date, without Mortgagee's prior written consent. Transfers among the existing members of Mortgagor (Graydon Development Group LLC, Tidewater Opportunity Fund II LP and Harborline Capital Advisors LLC) that do not result in a change of Control of Mortgagor shall not require Mortgagee's consent, *provided* that Mortgagor gives Mortgagee at least fifteen (15) Business Days' prior written notice and delivers such documentation as Mortgagee may reasonably request, and *provided further* that no such Transfer may result in Mortgagor ceasing to be a single-purpose entity or in any change in the identity of the Managing Member.

(c) Indirect and upstream transfers. Any change in Control of Mortgagor, of Graydon Development Group LLC, or of any Person that Controls Mortgagor, whether effected by transfer of equity interests, by merger, by the admission or withdrawal of a general partner or managing member, by the grant of a proxy or voting agreement, or otherwise, shall be deemed a Transfer requiring Mortgagee's prior written consent. Without limiting the foregoing, Mortgagor shall not permit (i) any transfer of the membership interest of Graydon Development Group LLC in Mortgagor, (ii) any transfer of the direct or indirect ownership interest in Graydon Development Group LLC held by Guarantor, or (iii) any transfer of the membership interest of Tidewater Opportunity Fund II LP in Mortgagor to any successor fund or other entity managed by or affiliated with Tidewater GP Holdings LLC, unless, in each case, Mortgagee has consented in writing.

(d) Conforming amendment. Mortgagor shall, on or before the Closing Date, cause its operating agreement to be amended so that the transfer restrictions contained in its operating agreement conform to this **Section 7.5** and to Section 10.3 of the Term Sheet, including by eliminating any "permitted transfer" that would permit a Transfer prohibited by this Section, and shall deliver a copy of the executed amendment to Mortgagee.

(e) No cure. Any Transfer in violation of this Section 7.5 shall constitute an immediate Event of Default, without notice or opportunity to cure, and shall

entitle Mortgagee to exercise all remedies under **Article 13**, including acceleration, imposition of the Default Rate and judicial foreclosure. Any Transfer made in violation of this Section shall be void *ab initio* at Mortgagee's election.

7.6 Environmental Compliance; Land Use Restriction.

(a) General compliance. Mortgagor shall comply, and shall cause the Property and each Tenant and contractor at the Property to comply, in all material respects with all Environmental Laws. Mortgagor shall not cause or permit any Hazardous Materials to be generated, used, stored, treated, transported, released, discharged, disposed of or threatened to be released at, on, under or from the Property, except for customary cleaning supplies and office products used in the ordinary course of the operation of the Property in compliance with Environmental Laws and in de minimis quantities.

(b) Notice and reporting. Mortgagor shall notify Mortgagee in writing within three (3) Business Days after Mortgagor obtains knowledge of (i) any release, discharge, spill or disposal of Hazardous Materials at, on, under or from the Property, (ii) any violation or alleged violation of any Environmental Law or of the Land Use Restriction, (iii) any inspection, investigation, notice of violation, information request, order, directive or enforcement action by SCDHEC, the United States Environmental Protection Agency or any other Governmental Authority relating to the Property, or (iv) any claim, demand or action by any Person relating to Hazardous Materials or the Land Use Restriction, and shall deliver copies of all related correspondence, reports and sampling data to Mortgagee within five (5) Business Days after receipt or transmittal.

(c) Land Use Restriction — specific covenants. Mortgagor acknowledges that the Land Use Restriction is a covenant running with the land, is binding on Mortgagor and all Tenants, successors and assigns, and is a condition to the continuing effectiveness of SCDHEC's No Further Action determination for SCDHEC Site ID SC-29403-0772. Mortgagor therefore covenants that:

(i) Mortgagor shall not use, and shall not permit any Tenant or other Person to use, the ground floor of Lot 7 (Tax Map No. 460-12-04-007; comprised of Bay 1, 520 King Street, containing approximately 3,800 square feet) for residential purposes, and shall not convert such space to a residential use, and shall not enter into any Lease or occupancy agreement for such space that permits residential use or any use inconsistent with the Land Use Restriction;

(ii) Mortgagor shall maintain, repair, preserve and keep in good condition and working order the vapor barrier system installed beneath the concrete floor slab of Bay 1, and shall not penetrate, remove, breach, compromise or render ineffective any portion of such vapor barrier;

(iii) Mortgagor shall not perform or permit any renovation, construction, demolition, alteration, repair or other work that penetrates, disturbs or is reasonably likely to compromise the vapor barrier beneath the Bay 1 slab, or that otherwise affects the Bay 1 slab, unless (A) Mortgagor has given

prior written notice to SCDHEC and to Mortgagee in accordance with the Land Use Restriction, (B) a qualified, licensed environmental professional has inspected the vapor barrier before and after such work and has certified to Mortgagee that the vapor barrier remains intact and effective, or has repaired or replaced the same in accordance with SCDHEC requirements, and (C) Mortgagor has delivered a copy of such inspection and certification report to Mortgagee promptly, and in any event before any Draw is requested for the affected work;

(iv) Mortgagor shall cause each contractor, subcontractor, architect, construction manager and consultant performing work at the Property (including Beaufort Builders Group LLC under the GC Contract) to be informed in writing of the existence, location and function of the vapor barrier and of the requirements of the Land Use Restriction, and shall incorporate an express covenant of compliance with the Land Use Restriction into the GC Contract and into each other construction contract;

(v) Mortgagor shall comply with all terms, conditions and obligations of the Land Use Restriction and all requirements, directives and orders of SCDHEC relating to SCDHEC Site ID SC-29403-0772, including all inspection, reporting, notification, access and institutional-control obligations, and shall make all filings and pay all fees required by SCDHEC in connection therewith;

(vi) Mortgagor shall not amend, modify, terminate, release, transfer, waive or seek the modification, termination, release or transfer of the Land Use Restriction, or seek any change in the SCDHEC No Further Action determination or SCDHEC Site ID SC-29403-0772, without Mortgagee's prior written consent in each instance;

(vii) Mortgagor shall deliver to Mortgagee, on or before the Closing Date and thereafter within thirty (30) days after the end of each calendar year (and more frequently upon Mortgagee's request following an Event of Default), a certificate executed by Mortgagor, together with a compliance report from a licensed environmental professional reasonably acceptable to Mortgagee, certifying that (A) the ground floor of Lot 7 has not been used for residential purposes, (B) the vapor barrier remains intact and in good condition and working order, (C) Mortgagor is in full compliance with the Land Use Restriction, and (D) no notice of violation, non-compliance or reopening of the SCDHEC site file has been received; and

(viii) Mortgagor shall cooperate fully with any inspection, review or inquiry by SCDHEC and shall permit Mortgagee and its consultants, upon reasonable prior notice (and without notice following an Event of Default), to inspect the Property and review Mortgagor's books and records relating to compliance with the Land Use Restriction.

(d) Environmental Indemnity. Mortgagor's obligations under this **Section 7.6** are in addition to, and not in limitation of, its obligations under the Environmental Indemnity Agreement, which obligations survive repayment of the Loan, foreclosure, the delivery of a deed in lieu of foreclosure and the

release of this Mortgage as provided therein. Nothing in this Mortgage shall limit any right or remedy of Mortgagee under the Environmental Indemnity Agreement.

(e) No invasive investigation without consent. Mortgagor shall not cause or permit any Phase II environmental site assessment, subsurface investigation, soil or groundwater sampling, or other invasive environmental testing at the Property, and shall not conduct any remediation, without Mortgagee's prior written consent, except (i) as required by Environmental Law or by any Governmental Authority pursuant to a written order, or (ii) as necessary to respond to an emergency. Mortgagor shall deliver copies of all reports and data generated by any such activity to Mortgagee within five (5) Business Days after receipt.

(f) Event of Default. Notwithstanding any other provision of this Mortgage or any cure period provided in Section 11.2 of the Term Sheet, any failure by Mortgagor to comply with the Land Use Restriction, or any amendment, modification, termination, transfer or release of the Land Use Restriction, or any use of the ground floor of Lot 7 for residential purposes, or any penetration, removal or compromise of the vapor barrier beneath the Bay 1 slab without satisfaction of the conditions in Section 7.6(c)(iii), shall constitute an immediate Event of Default, without notice or opportunity to cure, in accordance with the Title Insurer's special instruction to closer and Section 5 of this Mortgage.

7.7 Renovation Covenants. Mortgagor shall (a) commence the Project promptly following the Closing Date and in any event within sixty (60) days thereafter; (b) prosecute the Project with diligence and continuity and achieve Substantial Completion on or before the Substantial Completion Deadline; (c) perform the Project in accordance with the Approved Renovation Budget, the Plans and Specifications and all applicable permits and approvals, including any approval of the Board of Architectural Review of the City of Charleston; (d) cause the Project to be performed by Beaufort Builders Group LLC under the GC Contract, and not terminate, replace, assign or materially amend the GC Contract, and not approve or permit any change order, change directive or contract sum increase that individually exceeds $50,000 or that, together with all other change orders, exceeds $100,000 in the aggregate, without Mortgagee's prior written consent; (e) deliver to Mortgagee, within ten (10) days after the end of each calendar month during the Project, a written construction progress report, together with the then-current schedule of values, a comparison of actual costs to the Approved Renovation Budget, and notice of any known or anticipated cost overrun; (f) pay when due all costs of the Project in excess of the Renovation Holdback, including the Borrower Equity Contribution and any and all cost overruns, from Mortgagor's own funds; (g) obtain and maintain builder's risk insurance as required by **Article 8** and cause Beaufort Builders Group LLC to maintain the insurance required by the GC Contract; and (h) deliver to Mortgagee, promptly upon Substantial Completion, an architect's certificate of Substantial Completion, the certificate of occupancy, final lien waivers from the general contractor and all subcontractors

and materialmen, and the final title date-down endorsement contemplated by Section 8.4 of the Term Sheet.

7.8 Financial Covenants.

(a) Debt Service Coverage Ratio. Mortgagor shall maintain a Debt Service Coverage Ratio of not less than 1.25 to 1.00. The Debt Service Coverage Ratio shall be tested as of the last day of each calendar quarter, commencing with the calendar quarter ending June 30, 2027 (being the first full calendar quarter ending after the twenty-fourth (24th) month following the Closing Date, as provided in Section 7.1 of the Term Sheet), and continuing quarterly thereafter. "**Debt Service Coverage Ratio**" means, for any testing period, the quotient obtained by dividing (i) Net Operating Income for the twelve (12) consecutive full calendar months ending on the last day of such testing period, by (ii) the aggregate amount of all regularly scheduled payments of principal and interest that are payable under the Note during the twelve (12) consecutive months immediately following the last day of such testing period (determined on the basis of the principal balance then outstanding, the Applicable Rate in effect on the last day of the testing period and the amortization schedule then in effect), whether or not any such payment is payable on an interest-only basis. If the principal balance outstanding on the last day of the testing period differs from the principal balance expected to be outstanding during the following twelve months by reason of scheduled Draws, the calculation shall assume that all undrawn portions of the Renovation Holdback have been fully disbursed.

(b) Mortgagor net worth and liquidity. Mortgagor shall maintain at all times (i) a net worth of not less than $1,000,000 and (ii) liquid assets (consisting of cash, cash equivalents, marketable securities and unencumbered deposits held at federally insured depository institutions) of not less than $500,000. Compliance shall be tested annually, as of the end of each fiscal year, based on the financial statements and certification delivered under **Section 7.9**.

(c) Guarantor net worth and liquidity. Guarantor shall maintain at all times (i) a net worth of not less than $1,000,000 and (ii) liquid assets of not less than $500,000, in each case tested annually on the basis of the annual personal financial statement delivered under **Section 7.9(b)**. Mortgagor shall cause Guarantor to comply with this Section 7.8(c), and any failure of Guarantor to comply shall constitute an Event of Default under this Mortgage.

(d) Calculation and disputes. All calculations under this Section 7.8 shall be made by Mortgagee on the basis of the financial statements and certificates delivered under **Section 7.9** and Mortgagee's customary underwriting standards, and shall be conclusive absent manifest error. Mortgagor may, within fifteen (15) Business Days after written notice of a determination that a covenant has not been satisfied, deliver a written objection together with supporting calculations, in which case the parties shall consult in good faith; no such objection shall suspend Mortgagee's rights if the failure remains uncured after the applicable cure period, if any.

7.9 Financial Statements and Reporting. Mortgagor shall deliver, or cause to be delivered, to Mortgagee:

(a) within one hundred twenty (120) days after the end of each fiscal year of Mortgagor, audited annual financial statements of Mortgagor prepared in accordance with GAAP by an independent certified public accounting firm acceptable to Mortgagee, together with the consolidating and entity-level schedules customarily provided;

(b) within one hundred twenty (120) days after the end of each calendar year, an annual personal financial statement of Guarantor, in form and detail satisfactory to Mortgagee, certified by Guarantor as true, correct and complete;

(c) within thirty (30) days after the end of each calendar quarter, a rent roll for the Property, certified by Mortgagor as true, correct and complete, together with a schedule of security deposits held, a delinquency report and a report of all Leases executed, amended, renewed, terminated or surrendered during such quarter;

(d) within one hundred twenty (120) days after the end of each fiscal year of Mortgagor, annual property operating statements for the Property, including a detailed income and expense report and a comparison to the approved annual budget;

(e) within ten (10) Business Days after execution, copies of all Leases, lease amendments, renewals, extensions, terminations, surrenders, side letters and guaranties affecting the Property;

(f) concurrently with each quarterly delivery under clause (c), a compliance certificate executed by Mortgagor calculating the Debt Service Coverage Ratio (when applicable) and certifying compliance with **Section 7.8** and the other covenants in this Article 7;

(g) within thirty (30) days after the end of each calendar year, the annual certificate and vapor barrier compliance report required by Section 7.6(c)(vii);

(h) promptly upon Mortgagee’s request, copies of all real property tax bills and receipts, all utility bills, all insurance certificates and premium statements, and such other information regarding the Property, Mortgagor, Guarantor or any Related Entity as Mortgagee may reasonably request; and

(i) promptly, and in any event within five (5) Business Days, written notice of (i) any Event of Default or any event that with notice or lapse of time would constitute an Event of Default, (ii) any default by any Tenant under a Lease that involves more than 5,000 square feet or more than three (3) months of rent, (iii) the bankruptcy or insolvency of any Tenant occupying more than 5,000 square feet, (iv) any litigation, arbitration or governmental proceeding involving Mortgagor, Guarantor, any Related Entity or the Property that involves more than $250,000 or that seeks injunctive relief affecting the Property, (v) any Condemnation or casualty affecting the Property, and (vi)

any change in the identity of Mortgagor's managing member, officers, registered agent or principal place of business.

7.10 Organizational Documents; Further Assurances. Mortgagor shall not amend, restate, modify or replace its certificate of formation or operating agreement in any manner that adversely affects Mortgagee, that changes its name, jurisdiction or type of organization, or that modifies any SPE provision or transfer restriction, without Mortgagee's prior written consent. Mortgagor shall execute, acknowledge and deliver such further instruments, UCC filings, estoppel certificates, subordination agreements, consents, resolutions, certificates of good standing, opinions of counsel and other documents, and shall take such further actions, as Mortgagee may reasonably request to carry out the purposes of this Mortgage, to perfect or confirm the Lien of this Mortgage, or to facilitate its foreclosure or enforcement.

7.11 No Additional Financing; No Liens. Mortgagor shall not incur, create, assume or permit to exist any indebtedness for borrowed money, whether secured or unsecured, direct or contingent, or any lease obligations required to be capitalized under GAAP, other than (a) the Indebtedness, (b) trade payables and ordinary course operating obligations incurred in the operation of the Property and not more than sixty (60) days past due, and (c) purchase-money financing for equipment approved in advance in writing by Mortgagee. Mortgagor shall not create, incur, assume or permit to exist any Lien on the Property or any Collateral other than the Permitted Exceptions and the Lien of this Mortgage, and shall not incur, create or permit to exist any mezzanine loan, preferred equity investment or other financing arrangement that is secured, directly or indirectly, by any direct or indirect interest in Mortgagor.

7.12 Operating Accounts; No Commingling. Mortgagor shall maintain its operating accounts at one or more federally insured depository institutions, in its own name and separate from the accounts of any Related Entity, and shall deposit all Rents and other income from the Property into such accounts. Mortgagor shall not commingle its funds with those of any Related Entity, and shall not use any Escrow Fund for any purpose other than as expressly permitted by the applicable Loan Document.

7.13 Access and Inspection. Mortgagor shall permit Mortgagee and its agents, appraisers, engineers, environmental consultants, inspectors and accountants, upon not less than two (2) Business Days' prior notice (except in the case of an emergency or during the continuance of an Event of Default, in which case no notice shall be required), to enter upon and inspect the Property, to examine and copy Mortgagor's books and records relating to the Property, and to conduct such appraisals, physical needs assessments, environmental reviews and construction inspections as Mortgagee may reasonably require. All inspections and reports shall be at Mortgagor's expense to the extent provided in Section 13.2 of the Term Sheet. Mortgagee shall have no liability for any inspection or failure to inspect, and no inspection shall constitute a waiver of any Default or a representation by Mortgagee as to the condition of the Property.

7.14 Anti-Terrorism; OFAC. Mortgagor shall comply, and shall cause Guarantor and each Related Entity to comply, with all applicable anti-money laundering, anti-corruption, anti-bribery and economic sanctions laws, and shall not permit the Property or the Loan to be used in any manner that would violate such laws. Mortgagor shall deliver such certifications, identifying information and source-of-funds documentation as Mortgagee may request from time to time to satisfy its regulatory obligations, including under the Bank Secrecy Act and the USA PATRIOT Act.

7.15 ERISA. Mortgagor shall not become, and shall not permit any member to become, an "employee benefit plan" or "plan" subject to Title I of ERISA or Section 4975 of the Internal Revenue Code, and shall not take any action that would cause the Property to constitute "plan assets."

7.16 Preservation of Permits, Easements and Encroachment Rights. Mortgagor shall maintain in full force and effect all permits, licenses, certificates of occupancy, approvals and easements necessary for the use, occupancy and operation of the Property, including the utility easement recorded in Deed Book 987, Page 112, in the RMC Office, and shall not modify, relocate, release, abandon or fail to renew any of the same without Mortgagee's prior written consent. Mortgagor shall use commercially reasonable efforts to obtain and thereafter maintain in effect any encroachment license, franchise, permit or other authorization from the City of Charleston required for the decorative iron balcony extending approximately two and one-half (2.5) feet over the King Street public right-of-way, shall deliver copies of all applications, correspondence and approvals to Mortgagee, and shall notify Mortgagee within five (5) Business Days after receipt of any notice from the City of Charleston concerning such encroachment. Mortgagor shall not remove, alter or permit the removal or alteration of the balcony except in accordance with the Plans and Specifications and any approval required by the Board of Architectural Review.

7.17 Preservation of Collateral. Mortgagor shall keep the Collateral in good condition and repair, shall not remove any material item of Collateral from the Property except in the ordinary course of business for repair or replacement with items of equal or greater value and utility, and shall not sell, lease, transfer or otherwise dispose of any Collateral other than inventory and obsolete equipment disposed of in the ordinary course of business. Mortgagor shall promptly notify Mortgagee of any loss, damage, destruction or theft of any material item of Collateral.

7.18 Guarantor Obligations. Mortgagor shall cause Guarantor to perform all of Guarantor's obligations under the Guaranty Agreement, the Completion Guaranty and the Environmental Indemnity Agreement, and shall not permit Guarantor to transfer, encumber or dispose of any material portion of Guarantor's assets except in the ordinary course of business or as permitted under the Guaranty Agreement.

ARTICLE 8 — INSURANCE

8.1 Required Insurance. At all times from the Closing Date until the Indebtedness is paid in full, Mortgagor shall maintain, at its sole cost and expense,

the following insurance, in each case with insurers licensed to do business in the State of South Carolina and having an A.M. Best Company rating of not less than A-:VII (or such other rating as Mortgagee may approve in writing), and in each case in form, amounts, deductibles, retentions and coverage acceptable to Mortgagee:

(a) Property insurance covering the Property and all Improvements, on a "special form" all-risk basis, on a full replacement cost basis, including an agreed amount endorsement (waiver of coinsurance), ordinance or law coverage (including coverage for increased cost of construction and demolition), equipment breakdown coverage (including the elevator), and coverage for flood, windstorm, hail, explosion, vandalism and malicious mischief, sprinkler leakage, water damage and such other perils as Mortgagee may reasonably require. The policy shall name Mortgagee as mortgagee and loss payee pursuant to a standard mortgagee clause and shall provide that any loss is payable to Mortgagee notwithstanding any act or neglect of Mortgagor, and that Mortgagee's interest is not impaired by foreclosure or by any act of Mortgagor or any Tenant;

(b) Commercial general liability insurance (occurrence form) with limits of not less than $2,000,000 per occurrence and $5,000,000 in the aggregate, covering premises liability, operations liability, products and completed operations, personal and advertising injury, and contractual liability (including the liability assumed by Mortgagor under this Mortgage), naming Mortgagee as an additional insured;

(c) Flood insurance on the Property in an amount not less than $5,000,000, naming Mortgagee as mortgagee and loss payee, notwithstanding that the Property is located in FEMA Flood Zone X and that flood insurance is not required by federal regulation; Mortgagor acknowledges that this coverage is a condition of the Loan imposed by Mortgagee in its sole discretion;

(d) Builder's risk insurance during the period from the Closing Date through Substantial Completion, on a completed value (all-risk) basis, in an amount not less than the full Approved Renovation Budget of $3,150,000, covering the Property and the Project against all risks of physical loss or damage during the course of construction, including coverage for materials stored off-site and in transit, and naming Mortgagee as mortgagee and loss payee, and terminating only upon Substantial Completion and the delivery of the permanent property policy contemplated by **Section 8.1(a)**;

(e) Workers' compensation insurance in the amounts required by the laws of the State of South Carolina, together with employer's liability insurance of not less than $1,000,000, covering all employees of Mortgagor and, to the extent not covered under the general contractor's policies, all persons engaged in the Project;

(f) Umbrella or excess liability insurance in an amount not less than $5,000,000, providing excess coverage over the commercial general liability,

automobile liability and employers' liability policies, naming Mortgagee as an additional insured; and

(g) Business income and rent loss insurance covering not less than twelve (12) months of actual loss of Rents and operating expenses following a casualty, and such other insurance, in such amounts and covering such risks, as Mortgagee may reasonably require from time to time consistent with prudent institutional lending practices for comparable mixed-use commercial properties.

8.2 Policy Requirements. Each policy required under **Section 8.1** shall (a) be issued by an insurer acceptable to Mortgagee and authorized to do business in South Carolina; (b) contain a provision requiring not less than thirty (30) days' prior written notice to Mortgagee of cancellation, non-renewal or material modification (and ten (10) days' prior written notice of cancellation for non-payment of premium); (c) contain a standard non-contributory mortgagee clause in favor of Mortgagee; (d) provide that Mortgagee shall receive not less than ten (10) days' prior written notice of the effective date of any endorsement restrictive to Mortgagee; (e) waive any right of subrogation against Mortgagee; and (f) be primary and non-contributory with respect to any insurance maintained by Mortgagee. Mortgagor shall deliver to Mortgagee, on or before the Closing Date and thereafter at least thirty (30) days prior to each expiration, certificates of insurance and, upon Mortgagee's request, certified copies of the policies (including all endorsements).

8.3 Deductibles; Self-Insurance. Deductibles and self-insured retentions shall not exceed $50,000 per occurrence without Mortgagee's prior written consent, and Mortgagor shall bear the cost of all deductibles and retentions. Mortgagor shall not self-insure any risk without Mortgagee's prior written consent, which may be withheld in Mortgagee's sole discretion.

8.4 Evidence of Coverage; Mortgagee's Right to Insure. If Mortgagor fails to obtain, maintain or renew any required insurance, or fails to deliver evidence of coverage within ten (10) days after Mortgagee's request, Mortgagee may, at its option and without obligation to do so, obtain such insurance (including "force-placed" coverage on terms acceptable to Mortgagee, whether or not equivalent to the coverage required by this Article), and all amounts paid by Mortgagee for such insurance, together with interest at the Default Rate from the date of payment, shall be added to the Indebtedness and secured by this Mortgage. Mortgagor acknowledges that any insurance obtained by Mortgagee may be more expensive and may provide less coverage than the insurance required under this Article, and Mortgagor shall not be relieved of any obligation under this Article by Mortgagee's purchase of such insurance.

8.5 Application of Proceeds. All proceeds of insurance (other than proceeds of liability insurance payable to third parties, and proceeds of insurance maintained by a Tenant under its Lease and payable to such Tenant) shall be paid to and held by Mortgagee and applied in accordance with **Article 14**.

8.6 Separate Insurance. Mortgagor shall not take out separate insurance concurrently with or contributing in the event of loss with any insurance required under this Article, unless Mortgagee is named as an additional insured or loss payee thereon, and Mortgagor shall immediately notify Mortgagee of the issuance of any such separate insurance and deliver copies of the policies and endorsements.

ARTICLE 9 — ESCROWS, RESERVES AND IMPOUNDS

9.1 Tax and Insurance Escrow. Mortgagor shall deposit with Mortgagee, on or before the Closing Date and thereafter on each Payment Date, an amount equal to one-twelfth (1/12) of the estimated annual Impositions (covering all three tax parcels, Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009) and Insurance Premiums, as reasonably estimated by Mortgagee from time to time. Mortgagee shall hold such deposits in escrow, without interest unless required by applicable law, and shall apply them toward the payment of Impositions and Insurance Premiums as they become due. Mortgagee may adjust the monthly escrow deposit periodically based on actual or anticipated tax assessments and insurance premiums, and Mortgagor shall fund any deficiency within ten (10) days after written demand. If Mortgagor fails to fund a deficiency, Mortgagee may, at its option, advance the deficiency and add it to the Indebtedness. Mortgagee’s obligation to pay Impositions and Insurance Premiums from the escrow is limited to the funds then held in the escrow, and Mortgagee shall have no liability for any penalty or interest arising from insufficient escrow funds attributable to Mortgagor’s failure to fund.

9.2 Capital Replacement Reserve. Mortgagor shall deposit with Mortgagee, on each Payment Date, the sum of $645.83 (calculated as $0.25 per square foot per year multiplied by 31,000 square feet of gross building area, or $7,750 per year, divided by twelve months) into the Capital Replacement Reserve. Funds in the Capital Replacement Reserve shall be disbursed to Mortgagor upon Mortgagee’s prior written approval of qualifying capital replacement expenditures for the Property, subject to Mortgagee’s reasonable review and approval procedures, and upon Mortgagee’s receipt of invoices, lien waivers and such other supporting documentation as Mortgagee may reasonably require. Mortgagee may, in its reasonable discretion, adjust the monthly deposit amount based on a physical needs assessment or the actual capital replacement requirements of the Property.

9.3 Tenant Improvement and Leasing Commission Reserve. Mortgagor shall deposit with Mortgagee on the Closing Date the sum of $150,000 into the Tenant Improvement and Leasing Commission Reserve. Disbursements from such reserve shall be subject to Mortgagee’s prior written approval and shall be used exclusively for tenant improvement costs and leasing commissions incurred in connection with the leasing of vacant space at the Property (Bay 2 and 2nd Floor Suite B). Upon any draw from such reserve, Mortgagor shall replenish the reserve to the full amount of $150,000 from Mortgagor’s own funds within thirty (30) days after Mortgagee’s written demand. Mortgagor acknowledges that the Tenant Improvement and Leasing Commission Reserve is separate from, and in addition

to, the tenant improvement allowance line item in the Approved Renovation Budget, and that neither may be applied to the same cost.

9.4 General Provisions Applicable to Escrow Funds. (a) All Escrow Funds shall be held by Mortgagee and may be commingled with other funds of Mortgagee, and Mortgagor shall have no right to any interest or earnings thereon except as required by applicable law. (b) The Escrow Funds are pledged to Mortgagee as additional Collateral for the Indebtedness, and Mortgagor hereby grants to Mortgagee a security interest in all Escrow Funds and in all accounts in which they are held. (c) Upon the occurrence and during the continuance of an Event of Default, Mortgagee may apply all or any portion of the Escrow Funds to the Indebtedness in such order as Mortgagee may elect. (d) Mortgagee shall not be obligated to pay any Imposition, Insurance Premium, capital expenditure, tenant improvement allowance or leasing commission from the Escrow Funds if (i) an Event of Default has occurred and is continuing, (ii) the amount on deposit is insufficient, or (iii) Mortgagor has failed to deliver the documentation required under the applicable Loan Document. (e) Mortgagor's failure to make any required deposit into any escrow or reserve within five (5) Business Days after its due date shall constitute an Event of Default. (f) Upon payment in full of the Indebtedness, Mortgagee shall return any remaining Escrow Funds to Mortgagor, less any amounts required to be retained by Mortgagee for indemnity obligations that expressly survive repayment. (g) Mortgagee may, in its discretion, waive the escrow requirements of this Article 9 in writing, and any such waiver shall not affect Mortgagee's right to reinstate the requirements upon thirty (30) days' written notice.

ARTICLE 10 — RENOVATION HOLDBACK AND DISBURSEMENT PROCEDURES

10.1 The Renovation Holdback. Of the total Loan commitment of $14,750,000, the sum of $2,250,000 constitutes the Renovation Holdback, to be held by Mortgagee and disbursed to Mortgagor on a Draw basis solely for the payment of Renovation Costs in accordance with the Approved Renovation Budget, the Draw Schedule and this Article 10. No interest shall accrue or be payable on any undrawn portion of the Renovation Holdback. Mortgagor acknowledges that the Approved Renovation Budget is $3,150,000, that the Renovation Holdback represents 71.43% of that budget, and that the remaining $900,000 of Renovation Costs (representing 28.57% of the Approved Renovation Budget) is the Borrower Equity Contribution to be funded by Mortgagor from its own funds and not from the proceeds of the Loan.

10.2 Conditions Precedent to Each Draw. Mortgagee shall have no obligation to make any disbursement from the Renovation Holdback unless each of the following conditions has been satisfied (or waived in writing by Mortgagee):

(a) no Event of Default, and no event that with notice or lapse of time or both would constitute an Event of Default, has occurred and is continuing, and each representation and warranty of Mortgagor in this Mortgage remains true and

correct in all material respects as of the date of the Draw Request and the date of disbursement;

(b) Mortgagee has received a complete Draw Request satisfying **Section 10.3** not less than ten (10) Business Days prior to the requested disbursement date;

(c) the work for which payment is requested has been completed in accordance with the Plans and Specifications and the Approved Renovation Budget, free and clear of all mechanic's, materialmen's and other Liens and claims, and has been inspected and approved by Mortgagee's inspector in accordance with **Section 10.3(e)**;

(d) Mortgagor has funded, and there is on deposit with Mortgagee or otherwise evidenced to Mortgagee's satisfaction, the portion of the Borrower Equity Contribution allocable to the work covered by the Draw Request, such that at no time shall the cumulative amount disbursed from the Renovation Holdback exceed 71.43% of the cumulative Renovation Costs then incurred and paid or payable;

(e) the Title Insurer has issued the date-down endorsement required by **Section 10.3(g)**;

(f) all permits, approvals and certificates of occupancy required for the work covered by the Draw Request have been obtained, including any approval of the Board of Architectural Review of the City of Charleston required for the work;

(g) if the work covered by the Draw Request involves or is reasonably likely to affect the floor slab of Bay 1 on Lot 7, Mortgagor has satisfied each of the requirements of Section 7.6(c)(iii) (including prior written notice to SCDHEC and delivery of the environmental professional's pre- and post-work certification);

(h) the Title Policy (or a commitment to issue the same) remains in full force and effect, and the future advance endorsement contemplated by **Section 4.2** remains available; and

(i) Mortgagor has delivered to Mortgagee a then-current budget comparison and construction schedule and such other information as Mortgagee may reasonably request.

10.3 Draw Requests. Each disbursement from the Renovation Holdback (a "**Draw**") shall be made pursuant to a written draw request (a "**Draw Request**"), and Draws shall be made no more frequently than once per calendar month. Each Draw Request shall be submitted in writing, in form reasonably satisfactory to Mortgagee, and shall be accompanied by:

(a) an AIA G702/G703 Application and Certificate for Payment, certified by Mortgagor's architect of record, detailing the work completed to date, the amounts previously paid, the amount currently requested and the percentage of completion of each line item of the Approved Renovation Budget;

(b) a schedule of values, updated to the date of the Draw Request, reconciling all amounts requested and disbursed to the Approved Renovation Budget and the Draw Schedule;

(c) conditional lien waivers from Beaufort Builders Group LLC and each subcontractor or materialman performing work or supplying materials covered by the current Draw Request, and unconditional lien waivers from Beaufort Builders Group LLC and each subcontractor or materialman for all work and materials covered by all prior Draws; provided that lien waivers shall be required from each subcontractor or materialman whose work or materials exceed $25,000, and Mortgagor shall obtain and deliver such partial or full releases, affidavits and sworn statements as Mortgagee may reasonably require;

(d) a certification of Mortgagor, executed by an authorized representative, that the work has been completed in accordance with the Plans and Specifications, that all amounts requested have been or will promptly be paid to the Persons entitled thereto, that no Lien has been filed or is threatened against the Property, and that all conditions in **Section 10.2** have been satisfied;

(e) evidence of Mortgagee's satisfactory inspection of the work in progress, which inspection may be conducted by a third-party inspector or architect retained by Mortgagee at Mortgagor's expense;

(f) evidence of the Borrower Equity Contribution allocable to the work covered by the Draw Request, together with a reconciliation demonstrating compliance with **Section 10.2(d)**;

(g) a date-down endorsement to the Title Policy from the Title Insurer confirming that no intervening mechanic's or materialmen's lien, or other Lien or encumbrance, has been filed against the Property since the date of this Mortgage or the most recent date-down endorsement, and confirming the continued first priority of this Mortgage (including as to the amounts then being advanced); and

(h) such other documentation as Mortgagee may reasonably require, including invoices, bills of sale, paid receipts, contractor's affidavits, and evidence of insurance compliance by the general contractor and subcontractors.

Mortgagee may rely conclusively on each Draw Request and each certificate delivered in connection therewith, and shall have no duty to verify the accuracy of any request or certificate or to inspect the Property.

10.4 Disbursement; Retainage. Mortgagee shall disburse the amount properly requested (subject to **Section 10.5**) within ten (10) Business Days after Mortgagee's receipt of a complete and conforming Draw Request and satisfaction of the conditions in **Section 10.2**, by wire transfer to Mortgagor or, at Mortgagee's election, directly to Beaufort Builders Group LLC, any subcontractor, materialman or other Person entitled to payment. Mortgagee shall retain ten percent (10%) of each disbursement from the Renovation Holdback as retainage until Substantial Completion has been achieved in accordance with **Section 10.8**.

Retainage shall be held by Mortgagee (and not by Mortgagor or the general contractor unless Mortgagee otherwise agrees in writing) and shall not bear interest. No disbursement shall exceed the lesser of (a) the amount requested and (b) the cost of the work actually completed and approved, less prior payments and retainage.

10.5 Mortgagee's Right to Withhold. Mortgagee may decline to fund all or any portion of a Draw Request if (a) any condition in **Section 10.2** has not been satisfied; (b) the Draw Request or any supporting certificate is incomplete, inaccurate or inconsistent with the Approved Renovation Budget or the Plans and Specifications; (c) the work is defective or not in accordance with the Plans and Specifications, or Mortgagee's inspector has not approved the work; (d) a mechanic's, materialmen's or other Lien has been filed against the Property and has not been discharged or bonded over to Mortgagee's satisfaction; (e) Mortgagor is in default under the GC Contract or any other construction contract; (f) Mortgagee reasonably determines that the undisbursed Renovation Holdback, together with the unfunded portion of the Borrower Equity Contribution, is insufficient to complete the Project; or (g) a Material Adverse Effect has occurred. Mortgagee's decision to fund any Draw notwithstanding the existence of any such condition shall not constitute a waiver of Mortgagee's rights with respect to that or any other condition or Draw.

10.6 Cost Overruns. Mortgagor shall be solely responsible, from Mortgagor's own funds and not from the proceeds of the Loan, for all Renovation Costs in excess of the Renovation Holdback and for all Renovation Costs of every kind in excess of the Approved Renovation Budget, including any increase in the GC contract sum, any change order costs, any costs arising from concealed or unforeseen conditions, any design or construction defects, any code-compliance or Board of Architectural Review requirements, and any costs arising from delay. Mortgagor shall deposit any such excess funds with Mortgagee or otherwise demonstrate the availability of such funds to Mortgagee's satisfaction before Mortgagee is obligated to make any further Draw. Mortgagor's obligation under this Section 10.6 is guaranteed by Guarantor under the Completion Guaranty.

10.7 Use of Renovation Holdback; No Reallocation. The Renovation Holdback shall be used solely for Renovation Costs in accordance with the line-item allocations set forth in **Exhibit C**. Mortgagor shall not reallocate amounts among line items (other than de minimis reallocations not exceeding five percent (5%) of the total Approved Renovation Budget, and then only with prior written notice to Mortgagee) without Mortgagee's prior written consent. No portion of the Renovation Holdback may be used for (a) any cost incurred before the Closing Date, (b) any cost not included in the Approved Renovation Budget, (c) any payment to a Related Entity except for arm's-length development or asset management fees disclosed in the Approved Renovation Budget and approved by Mortgagee, or (d) any cost relating to a Tenant improvement for a Lease that Mortgagee has not approved where such approval is required under **Section 7.3**.

10.8 Substantial Completion and Release of Retainage. Upon Substantial Completion, Mortgagee shall release the retainage held under **Section 10.4** within thirty (30) days after Mortgagee's receipt of (a) an architect's certificate of

Substantial Completion, (b) the certificate of occupancy (or equivalent) issued by the City of Charleston for the renovated portions of the Property, (c) final unconditional lien waivers from Beaufort Builders Group LLC and from each subcontractor and materialman, (d) a final title date-down endorsement confirming no intervening Liens, (e) evidence of the replacement of builder's risk insurance with the permanent property insurance required by **Section 8.1(a)**, and (f) a certification by Mortgagor that the Project has been completed in accordance with the Plans and Specifications and the Approved Renovation Budget.

10.9 Substantial Completion Deadline; No Extension. Mortgagor shall achieve Substantial Completion on or before June 15, 2026. The Substantial Completion Deadline shall not be extended by any event, including any delay caused by weather, labor disturbance, governmental action, casualty or other event beyond Mortgagor's control, except by a written extension executed by Mortgagee in its sole discretion; Mortgagee may, but shall not be obligated to, consider any such event in determining whether to grant an extension if Mortgagor has given Mortgagee prompt written notice of the event, has diligently pursued all reasonable measures to mitigate the delay, and is not otherwise in default. Mortgagee's failure to declare an Event of Default upon the passage of the Substantial Completion Deadline shall not constitute a waiver or an extension of the deadline.

10.10 Completion by Mortgagee. If Mortgagor fails to achieve Substantial Completion by the Substantial Completion Deadline, or if Mortgagee takes possession of the Property following an Event of Default, Mortgagee may (but shall not be obligated to), at Mortgagor's sole cost and expense, complete the Project or cause the Project to be completed, using the undrawn portion of the Renovation Holdback and any other Escrow Funds for that purpose and advancing such additional funds as Mortgagee deems necessary. All amounts so expended or advanced shall be added to the Indebtedness, shall bear interest at the Default Rate from the date of expenditure, and shall be secured by this Mortgage. Mortgagor hereby grants to Mortgagee, effective upon the occurrence and during the continuance of an Event of Default, an irrevocable license to enter upon the Property and to use the Plans and Specifications, the GC Contract, all permits, all materials and equipment at the Property and all of Mortgagor's rights under the GC Contract and the construction documents for the purpose of completing the Project, and Mortgagor shall execute such assignments, consents and acknowledgments as Mortgagee may request to evidence the foregoing, including a collateral assignment of the GC Contract and the consent of Beaufort Builders Group LLC thereto.

10.11 Undisbursed Renovation Holdback. Upon Substantial Completion and the satisfaction of the conditions in **Section 10.8**, any portion of the Renovation Holdback that remains undisbursed shall no longer be available to Mortgagor and shall be applied by Mortgagee, at Mortgagee's election, to the outstanding principal balance of the Note (without premium, penalty or Yield Maintenance Premium) or retained by Mortgagee as additional Collateral for the Indebtedness. Mortgagor shall have no right to require the disbursement of any portion of the Renovation Holdback after Substantial Completion.

ARTICLE 11 — MORTGAGEE’S RIGHT TO PERFORM; PROTECTIVE ADVANCES

11.1 Right to Perform. If Mortgagor fails to perform any obligation under this Mortgage or any other Loan Document, or if Mortgagee reasonably determines that action is necessary to protect the Property, the Lien of this Mortgage or Mortgagee’s interests, Mortgagee may (but shall not be obligated to), without notice to Mortgagor (except as required by applicable law) and without releasing Mortgagor from any obligation: (a) pay any Imposition, Insurance Premium, Lien, judgment, mechanic’s or materialmen’s claim or other charge affecting the Property; (b) obtain or maintain any insurance required under **Article 8**; (c) perform any maintenance, repair, restoration or completion work at the Property, including completion of the Project; (d) discharge or bond over any Lien; (e) appear in, defend or prosecute any action or proceeding affecting the Property or the Lien of this Mortgage; (f) contest or settle any claim affecting the Property; (g) pay any utility or other charge necessary to preserve the Property; or (h) take any other action that Mortgagee deems necessary or appropriate to preserve or protect the Property, the Collateral or Mortgagee’s interests.

11.2 Advances Secured. All amounts paid or advanced by Mortgagee under **Section 11.1**, together with interest thereon at the Default Rate from the date of the advance until repaid, and all costs and expenses (including reasonable attorneys’ fees) incurred in connection therewith, shall be added to and become part of the Indebtedness, shall be secured by this Mortgage with the same priority as the original principal amount of the Loan, and shall be due and payable by Mortgagor within five (5) Business Days after written demand. No such advance shall be deemed to cure any Event of Default or to waive any right or remedy of Mortgagee.

11.3 No Liability. Mortgagee shall not be liable for any loss, damage, cost or expense to Mortgagor or any other Person arising from any action taken or omitted by Mortgagee under this Article 11, except to the extent caused by Mortgagee’s gross negligence or willful misconduct. Mortgagee shall not be obligated to take any action under this Article 11, and the taking of any such action shall not constitute an assumption of any obligation of Mortgagor or make Mortgagee a mortgagee in possession for purposes of any obligation to any Tenant or other Person.

11.4 Subrogation. To the extent Mortgagee pays any amount that Mortgagor was obligated to pay, Mortgagee shall be subrogated to all rights of the Person to whom such payment was made, and such subrogation shall not impair or affect the Lien of this Mortgage.

11.5 Power of Attorney. Mortgagor hereby irrevocably appoints Mortgagee as its attorney-in-fact, coupled with an interest, effective upon the occurrence and during the continuance of an Event of Default, with authority to execute, acknowledge and deliver in Mortgagor’s name all instruments, assignments, financing statements, consents, notices to Tenants, proofs of claim, and other documents, and to take all other actions, that Mortgagee reasonably deems necessary or appropriate to carry out the purposes of this Mortgage, including the enforcement of the Assignment of

Rents, the protection of the Collateral and the completion of the Project. The foregoing power of attorney is granted in consideration of the Loan and is irrevocable until the Indebtedness is paid in full and this Mortgage is released.

ARTICLE 12 — EVENTS OF DEFAULT

12.1 Events of Default. Each of the following shall constitute an "**Event of Default**" under this Mortgage:

(a) Payment. Failure by Mortgagor to pay any installment of principal, interest, the Late Charge, any escrow deposit, or any other amount due under this Mortgage, the Note or any other Loan Document on the date when due, subject to the cure period in **Section 12.2(a)**;

(b) Covenant breach. Breach by Mortgagor of any covenant, agreement, representation, warranty or obligation contained in this Mortgage or any other Loan Document, subject to the cure periods in **Section 12.2** where applicable;

(c) Misrepresentation. Any representation or warranty made by Mortgagor or Guarantor in this Mortgage, in any other Loan Document, or in any certificate, financial statement, Draw Request, rent roll or other document furnished to Mortgagee proves to have been false, misleading or inaccurate in any material respect when made or deemed made;

(d) Insolvency. The filing by or against Mortgagor, Guarantor or any Related Entity of any petition in bankruptcy, reorganization, arrangement or insolvency proceeding; the appointment of a receiver, trustee, custodian, conservator or liquidator for Mortgagor, Guarantor, any Related Entity or any substantial part of the property or assets of any of them; any assignment for the benefit of creditors; any admission in writing of inability to pay debts generally as they become due; or any corporate or limited liability company action taken to authorize any of the foregoing;

(e) Cross-default. A default by Mortgagor, Guarantor or any Related Entity under any other indebtedness for borrowed money in an amount exceeding $250,000 in the aggregate, which default is not cured within any applicable cure or grace period, or the acceleration of any such indebtedness;

(f) Insurance. Failure by Mortgagor to maintain, or to deliver evidence of, any insurance required under **Article 8**, or failure to fund any insurance escrow deposit required under **Section 9.1**;

(g) Transfer violation. Any Transfer in violation of **Section 7.5**, including any change in Control of Mortgagor;

(h) Substantial Completion. Failure by Mortgagor to achieve Substantial Completion on or before the Substantial Completion Deadline;

(i) Debt service coverage. The Debt Service Coverage Ratio falling below 1.25 to 1.00 for two (2) consecutive calendar quarters after the commencement of DSCR testing under Section 7.8(a);

(j) SPE covenants. Breach by Mortgagor of any SPE Covenant set forth in **Section 7.4** or of any comparable provision of its organizational documents;

(k) Environmental and Land Use Restriction. Breach by Mortgagor of any covenant in **Section 7.6**, including any failure to comply with the Land Use Restriction, any use of the ground floor of Lot 7 for residential purposes, any penetration, removal or compromise of the vapor barrier beneath the Bay 1 slab without satisfaction of the conditions in Section 7.6(c)(iii), or any amendment, modification, termination or release of the Land Use Restriction;

(l) Material adverse change. A Material Adverse Effect that, in Mortgagee's reasonable judgment, materially impairs the ability of Mortgagor to perform its obligations under the Loan Documents or of Guarantor to perform its obligations under the Guaranty Agreement;

(m) Guarantor. Failure by Guarantor to perform any obligation under the Guaranty Agreement, the Completion Guaranty or the Environmental Indemnity Agreement, the death or incapacity of Guarantor, or any transfer by Guarantor of a material portion of Guarantor's assets other than as permitted thereunder;

(n) Loan Documents. Any Loan Document ceases to be in full force and effect or is declared void, invalid or unenforceable, or Mortgagor or Guarantor asserts in writing that any Loan Document is not binding or enforceable, or any Lien purported to be created by this Mortgage ceases to be a valid, perfected first-priority Lien (subject only to the Permitted Exceptions);

(o) Construction. Failure by Mortgagor to comply with **Article 10**, any material breach or default by Mortgagor under the GC Contract, abandonment of the Project for a period of thirty (30) consecutive days, or failure to commence the Project within sixty (60) days after the Closing Date;

(p) Liens and judgments. The filing of any mechanic's, materialmen's, judgment or other Lien against the Property that is not discharged or bonded over to Mortgagee's satisfaction within thirty (30) days after Mortgagor receives notice thereof, or the entry of any judgment against Mortgagor or Guarantor in excess of $250,000 that remains unsatisfied, unbonded or unstayed for thirty (30) days;

(q) Permits and abandonment. The revocation, suspension or loss of any permit, license or certificate of occupancy necessary for the use or occupancy of the Property, or the abandonment or discontinuation of the operation of the Property for a period of thirty (30) consecutive days (other than as a result of casualty or Condemnation, in which case **Article 14** shall govern);

(r) Estoppels and SNDAs. Failure by Mortgagor to deliver any estoppel certificate or SNDA required under **Section 5.6** within the applicable time period; and

(s) Other. The occurrence of any other event or condition that constitutes an Event of Default under any other Loan Document.

12.2 Cure Periods.

(a) Payment defaults. Mortgagor shall have five (5) Business Days after the date on which payment was due to cure a payment default described in **Section 12.1(a)**. The Late Charge provided in **Section 15.4** may be assessed independently of, and shall not extend, this cure period.

(b) Non-monetary defaults. For a default described in **Section 12.1(b)** that is not a payment default, an SPE default, a Transfer default, an insurance default or an environmental or Land Use Restriction default, Mortgagor shall have thirty (30) days after written notice from Mortgagee to Mortgagor to cure such default; *provided* that if the default is of a nature that it cannot reasonably be cured within thirty (30) days and Mortgagor has commenced and is diligently pursuing the cure, the cure period shall be extended for an additional period not to exceed sixty (60) days (for a total cure period not to exceed ninety (90) days), and *provided further* that no such extension shall be available if the failure to cure would reasonably be expected to result in a Material Adverse Effect or in the loss, impairment or subordination of Mortgagee's Lien.

(c) No cure periods. No cure period shall apply to (i) any breach of the SPE Covenants in **Section 7.4**, (ii) any Transfer in violation of **Section 7.5**, (iii) any breach of **Section 7.6** relating to the Land Use Restriction or the vapor barrier, (iv) any misrepresentation described in **Section 12.1(c)**, (v) any event described in **Section 12.1(d)** or **Section 12.1(n)**, or (vi) any failure to maintain insurance required under **Article 8**. Each such event shall constitute an immediate Event of Default, without notice or opportunity to cure, in accordance with Sections 11.2(c) and 10.3 of the Term Sheet.

(d) No notice required for acceleration after cure period. Once any applicable cure period has expired without cure, the Event of Default shall be deemed continuing and Mortgagee may exercise its remedies without further notice, except as required by applicable law.

12.3 Automatic Acceleration. Upon the occurrence of any event described in **Section 12.1(d)** with respect to Mortgagor, the entire Indebtedness shall immediately become due and payable, without notice, presentment, demand, protest or other action of any kind, all of which are hereby expressly waived by Mortgagor to the fullest extent permitted by applicable law.

12.4 Notice of Default. Any notice from Mortgagee under this Article 12 shall be given in accordance with **Section 18.1** and shall specify the nature of the asserted default and, where applicable, the cure period. Mortgagee's failure to give a notice of default shall not constitute a waiver of any Event of Default or of any remedy, except to the extent a notice is expressly made a condition to the existence of an Event of Default under this Article 12.

ARTICLE 13 — REMEDIES

13.1 Remedies Upon Default. Upon the occurrence and during the continuance of an Event of Default, Mortgagee may, in its sole discretion and in addition to all other rights and remedies available at law or in equity, exercise any one or more of the following remedies, concurrently or successively, without notice to Mortgagor except as required by applicable law:

(a) declare the entire Indebtedness immediately due and payable and demand payment thereof;

(b) impose the Default Rate on the outstanding principal balance of the Loan and on all other amounts due, from the date of the Event of Default until the Event of Default is cured or the Indebtedness is paid in full, whichever first occurs;

(c) foreclose this Mortgage by judicial proceedings in accordance with **Section 13.2**;

(d) enforce the Assignment of Rents in accordance with **Article 5**, including by giving notice to the Tenants to pay all Rents directly to Mortgagee;

(e) apply for the appointment of a receiver in accordance with **Section 13.3**;

(f) exercise all rights and remedies of a secured party under the UCC, including the right to take possession of, and to sell or otherwise dispose of, the personal property Collateral;

(g) enter upon and take possession of the Property and operate, manage, lease, repair, restore, complete and otherwise deal with the Property, and collect and apply the Rents, in each case in accordance with **Section 13.7**;

(h) apply all Escrow Funds to the Indebtedness in such order as Mortgagee may elect;

(i) institute and prosecute any action for specific performance, injunctive relief, the appointment of a receiver, damages, or the enforcement of any covenant or obligation under the Loan Documents;

(j) exercise any power of attorney granted under **Section 11.5** or **Section 5.4**; and

(k) pursue a deficiency judgment against Mortgagor or Guarantor to the extent permitted by **Section 13.9** and applicable law.

13.2 Judicial Foreclosure; No Power of Sale. South Carolina is a judicial foreclosure state. Accordingly, this Mortgage does not grant, and shall not be construed to grant, to Mortgagee any power of sale, right of non-judicial foreclosure, or right to sell the Property without judicial proceedings. Mortgagee's remedy of foreclosure shall be exercised exclusively by an action for foreclosure and sale in the Court of Common Pleas for Charleston County, South Carolina (or, at Mortgagee's election, in any other court of competent jurisdiction), in accordance with the laws of the State of South Carolina. Mortgagor, for itself and

for each Person claiming by, through or under it, hereby submits to the jurisdiction of such courts for purposes of any such action or proceeding.

13.3 Receivership. Upon the occurrence and during the continuance of an Event of Default, Mortgagee shall be entitled, as a matter of right and without notice to Mortgagor (to the extent permitted by applicable law) and without regard to the value of the Property, the adequacy of the security for the Indebtedness, the solvency of Mortgagor or any other Person, or the existence of any other remedy, to the appointment of a receiver (which may be Mortgagee or an Affiliate of Mortgagee) for the Property. Mortgagor irrevocably consents to the appointment of such receiver and to the exercise by the receiver of all of the powers customarily exercised by a receiver of a commercial property, including the power to collect Rents, to lease space, to incur obligations for repairs and operations, to complete the Project, to prosecute and defend actions relating to the Property, and to apply the Rents and other income of the Property to the costs of operation and to the Indebtedness. The appointment of a receiver shall not constitute an election of remedies or a waiver of any right of Mortgagee, including the right to foreclose. Any receiver appointed under this Section shall be entitled to reasonable compensation and to indemnification from the Property, and Mortgagor shall pay all costs of the receivership.

13.4 Enforcement of Leases and Rents. Without limiting **Article 5**, Mortgagee may, upon the occurrence and during the continuance of an Event of Default, (a) institute and prosecute all actions and proceedings in the name of Mortgagor or Mortgagee, as Mortgagee may elect, for the collection of Rents and the enforcement of any Lease, (b) recover possession of the Property from any Tenant, (c) settle, compromise, extend, modify or terminate any Lease, (d) evict any Tenant, and (e) exercise any right of the landlord under any Lease, and Mortgagor shall cooperate fully and shall not take any action inconsistent with Mortgagee’s exercise of such rights. Mortgagee shall apply all Rents collected to the Indebtedness in accordance with **Section 13.8**, after deducting all costs of collection, operation and maintenance.

13.5 UCC Remedies. Mortgagee may exercise all rights and remedies of a secured party under the UCC, including the right to notify account debtors and other Persons obligated on any Collateral to make payment directly to Mortgagee, the right to take possession of the Collateral, and the right to sell, lease, license or otherwise dispose of the Collateral at public or private sale. Mortgagor agrees that ten (10) days’ written notice of the time and place of any public sale or of the time after which any private sale or other disposition is to be made shall constitute reasonable notification. Mortgagor waives, to the fullest extent permitted by applicable law, any right to require Mortgagee to marshal assets, to exhaust any remedy against any other Person or property, or to pursue any particular remedy before pursuing another. Any proceeds of the Collateral shall be applied in accordance with **Section 13.8**.

13.6 Cumulative Remedies; No Waiver. All rights and remedies of Mortgagee under this Mortgage, the other Loan Documents and applicable law are cumulative and not exclusive, and may be exercised concurrently or successively. No failure or delay by Mortgagee in exercising any right or remedy shall operate as a waiver

thereof, and no single or partial exercise shall preclude any other or further exercise. Acceptance of any payment after an Event of Default, or after the acceleration of the Indebtedness, shall not constitute a waiver of the Event of Default or of the acceleration, and Mortgagee may retain such payment and apply it as provided in **Section 15.5** without prejudice to its rights. No waiver, consent or amendment shall be effective unless in writing signed by Mortgagee, and no waiver shall be effective for any purpose other than the specific instance and purpose for which it is given.

13.7 Mortgagee in Possession. If Mortgagee enters into possession of the Property, Mortgagee may (a) hold, manage, lease, operate, insure, repair, restore, complete and otherwise deal with the Property; (b) collect and apply the Rents; (c) expend such sums as Mortgagee deems necessary for the operation, maintenance, repair, restoration, completion and preservation of the Property; (d) execute and terminate Leases and other agreements relating to the Property; and (e) take any other action necessary to preserve and protect the Property and the Indebtedness. Mortgagee shall not be liable for any loss, cost or damage to Mortgagor or any other Person arising from Mortgagee's possession and operation of the Property except to the extent caused by Mortgagee's gross negligence or willful misconduct, and Mortgagee shall not be obligated to incur any expense or take any action that Mortgagee determines not to be prudent. Mortgagee's entry into possession shall not constitute a waiver of any Event of Default or of Mortgagee's right to foreclose.

13.8 Application of Proceeds. All amounts received or collected by Mortgagee, whether from the foreclosure or other sale of the Property, the Collateral, the Rents, the Escrow Funds, insurance, Condemnation, any guaranty or indemnity, or otherwise, shall be applied in the following order of priority: (a) first, to the costs and expenses of collection, enforcement, foreclosure, receivership, sale, possession and protection of the Property, including reasonable attorneys' fees, court costs, trustee's and receiver's fees and expert fees; (b) second, to the payment of any protective advances or other advances made by Mortgagee under **Article 11**; (c) third, to the Late Charge, the Yield Maintenance Premium (to the extent payable) and any other fees and charges; (d) fourth, to interest at the Default Rate and any other interest accrued on the Indebtedness; (e) fifth, to the unpaid principal balance of the Loan; and (f) sixth, to any remaining Indebtedness and then to Mortgagor or as otherwise required by applicable law. Mortgagee may apply amounts in any other order to the extent permitted by applicable law, and Mortgagor waives any right to direct the application of payments.

13.9 Deficiency Judgment. If the proceeds of any foreclosure sale or other disposition of the Collateral are insufficient to pay the Indebtedness in full, Mortgagee may seek a deficiency judgment against the parties liable therefor (including Guarantor under the Guaranty Agreement) to the extent permitted by applicable law and subject to the provisions of **Section 18.14**.

13.10 Deed in Lieu of Foreclosure. Mortgagee may accept a deed, assignment or other conveyance of the Property in lieu of foreclosure, and no such acceptance shall be deemed to constitute a release of Mortgagor, an election of remedies, a merger of this Mortgage into any deed, or a satisfaction of all or any part of the

Indebtedness, except to the extent of the amount actually credited against the Indebtedness in writing by Mortgagee.

13.11 Costs and Attorneys' Fees. Mortgagor shall pay on demand all costs and expenses incurred by Mortgagee in connection with the enforcement of this Mortgage or any other Loan Document, including reasonable attorneys' fees and disbursements (whether or not litigation is commenced), court costs, expert witness fees, appraisal fees, receiver's fees, title search and title insurance charges, and costs of publication, auction or sale. If Mortgagee retains counsel to collect any amount due or to enforce any right or remedy, Mortgagor shall pay such fees and costs, which shall be secured by this Mortgage and shall bear interest at the Default Rate until paid.

ARTICLE 14 — CASUALTY AND CONDEMNATION

14.1 Notice; Mortgagee's Rights. Mortgagor shall give Mortgagee prompt written notice of any casualty to the Property or any Condemnation, and of any claim, settlement offer or award relating thereto. Mortgagee shall have the right, but not the obligation, to participate in and approve any adjustment, settlement or compromise of any insurance claim or Condemnation award, and Mortgagor shall not settle any claim or award exceeding $250,000 without Mortgagee's prior written consent. Mortgagor shall execute such assignments of claims and proofs of loss as Mortgagee may require.

14.2 Proceeds Held by Mortgagee. All insurance proceeds and Condemnation awards (other than those payable directly to a Tenant under its Lease and not attributable to the landlord's interest) shall be paid to and held by Mortgagee, in its discretion, as additional Collateral for the Indebtedness. Mortgagee is hereby authorized to collect and receipt for such proceeds and awards and to endorse any instrument in payment thereof.

14.3 Restoration. Mortgagor may elect to restore the Property with the insurance proceeds or Condemnation award if, and only if, each of the following conditions is satisfied: (a) no Event of Default has occurred and is continuing; (b) the Property can be restored to a condition at least equivalent to its condition immediately prior to the casualty, in compliance with applicable law and the Plans and Specifications, within twelve (12) months after the casualty; (c) the proceeds or award, together with any additional funds committed by Mortgagor and evidenced to Mortgagee's satisfaction, are sufficient to complete the restoration; (d) the Leases and the economic viability of the Property will not be materially adversely affected; and (e) Mortgagee has approved the restoration plans and budget, which approval shall not be unreasonably withheld. If Mortgagor elects to restore and satisfies these conditions, Mortgagee shall make the proceeds available for the restoration in accordance with disbursement procedures substantially equivalent to those in **Article 10**, and Mortgagor shall complete the restoration diligently and free of Liens.

14.4 Application to Indebtedness. If Mortgagor does not elect to restore, or if any condition in **Section 14.3** is not satisfied, Mortgagee may apply all or any portion of the proceeds or award to the Indebtedness in the order set forth in

Section 13.8, without payment of any prepayment premium, penalty or Yield Maintenance Premium. Any amounts applied to principal shall be applied to the installments of principal in the inverse order of their maturity and shall not reduce the amount of any monthly installment, change the amortization schedule or change the Maturity Date.

14.5 Total Condemnation. If all or substantially all of the Property is taken by Condemnation, or if the remaining Property is not economically viable in Mortgagee's reasonable judgment, the entire Indebtedness shall, at Mortgagee's election, become immediately due and payable, and Mortgagee may apply the Condemnation award as provided in **Section 14.4**.

14.6 Insufficient Proceeds. If the proceeds or award are insufficient to pay all costs of restoration and all amounts due under the Loan Documents, Mortgagor shall pay the deficiency from its own funds. Mortgagee shall have no liability for any failure to collect any insurance proceeds or Condemnation award, or for any delay in collection, and Mortgagor shall remain obligated for the full amount of the Indebtedness regardless of any casualty or Condemnation.

ARTICLE 15 — INTEREST, FEES, LATE CHARGES AND PAYMENTS

15.1 Payments; Interest-Only Period; Amortization. Mortgagor shall pay the Indebtedness in accordance with the Note. Without limiting the Note, and subject to the Note in the event of any conflict: (a) the Loan shall bear interest at the Applicable Rate; (b) the Loan shall be interest-only for the first twenty-four (24) months following the Closing Date, commencing with the first Payment Date and ending on or about April 15, 2027, and during the Interest-Only Period monthly payments shall consist solely of accrued interest on the outstanding principal balance; (c) commencing with the payment due on May 15, 2027, and continuing through the Maturity Date, monthly payments of principal and interest shall be due based on a twenty-five (25) year amortization schedule, calculated on the then-outstanding principal balance and the then-applicable interest rate; (d) all payments of principal and interest shall be due on the fifteenth (15th) day of each calendar month, commencing May 15, 2025 (each, a "**Payment Date**"); and (e) the entire outstanding principal balance, together with all accrued and unpaid interest and all other amounts due under the Loan Documents, shall be due and payable on the Maturity Date.

15.2 Interest Computation. Interest on the Loan shall be computed on the basis of the actual number of days elapsed over a year of three hundred sixty (360) days. Interest shall accrue daily on the outstanding principal balance and shall be payable monthly in arrears on each Payment Date, at maturity, upon acceleration and upon prepayment, in each case for the period for which interest has not previously been paid. Any change in the Applicable Rate resulting from a change in Daily SOFR shall become effective on the day of such change, without notice to Mortgagor.

15.3 Default Rate. Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan and all other amounts due

shall bear interest at the Default Rate, being the Applicable Rate plus five percent (5.00%) per annum, from the date of the Event of Default until the earlier of the date on which the Event of Default is cured or the Indebtedness is repaid in full. Interest at the Default Rate shall be payable on demand and shall be secured by this Mortgage. Mortgagee's imposition of the Default Rate shall not constitute a waiver of the Event of Default or an election of remedies, and the Default Rate shall continue to accrue whether or not Mortgagee has accelerated the Indebtedness.

15.4 Late Charge. If any installment of principal or interest, or any other amount payable under the Loan Documents, is not received by Mortgagee within ten (10) calendar days after its due date, Mortgagor shall pay to Mortgagee a late charge equal to five percent (5.00%) of the overdue amount (the "**Late Charge**"). Mortgagee may assess the Late Charge with respect to any overdue amount, and the Late Charge may be assessed more than once on the same amount if it remains overdue in more than one month. Mortgagor acknowledges and agrees that the Late Charge is intended to compensate Mortgagee for the additional administrative expense, processing cost and loss of use of funds occasioned by late payment; that the actual damages to Mortgagee from a late payment are extremely difficult and impractical to ascertain; that the Late Charge is a reasonable estimate of such damages; and that the Late Charge is not a penalty, is not interest and shall not reduce or be credited against any interest otherwise payable. The Late Charge is in addition to, and not in lieu of, the Default Rate and all other remedies.

15.5 Application of Payments. All payments received by Mortgagee shall be applied in such order as Mortgagee may elect and, absent such election, as provided in **Section 13.8**. Mortgagor hereby waives any right to direct the application of any payment. Any payment received after the applicable Event of Default shall be accepted without prejudice to Mortgagee's rights and may be applied as Mortgagee elects. If any payment is insufficient to pay all amounts then due, Mortgagee may apply it to any component of the Indebtedness in its discretion.

15.6 Payments on Business Days; Manner of Payment. If any Payment Date or other payment date is not a Business Day, the payment shall be due on the next succeeding Business Day, and interest shall continue to accrue for the intervening period. All payments shall be made in lawful money of the United States, in immediately available funds, without setoff, deduction, abatement, counterclaim or withholding, to Mortgagee at the address specified in **Section 18.1** or by wire transfer to the account designated by Mortgagee in writing.

15.7 Fees, Costs and Expenses. Mortgagor shall pay on the Closing Date (a) a loan origination fee equal to one percent (1.00%) of the Loan amount, in the amount of $147,500, which is fully earned upon closing and non-refundable under any circumstances; (b) all out-of-pocket costs and expenses incurred by Mortgagee in connection with the origination, underwriting, documentation, closing and administration of the Loan, including the reasonable legal fees and disbursements of Mortgagee's counsel, Fielding, Ashworth & Cole LLP; appraisal and appraisal review fees; environmental report fees; title insurance premiums and title search charges; the cost of the Survey; recording fees; UCC filing and search fees;

construction inspection fees during the Project; and such other costs and expenses as Mortgagee may incur; and (c) subject to confirmation by the Title Insurer, all South Carolina documentary stamp taxes, deed recording fees and mortgage recording fees payable upon recording of this Mortgage, which, based on the rate of $1.85 per $500 of the indebtedness secured (0.37%), are estimated to be $54,575 with respect to the indebtedness of $14,750,000 secured hereby. Mortgagor shall additionally reimburse Mortgagee on demand for all such costs and expenses incurred after closing, including those described in **Section 13.11**. All such amounts shall be secured by this Mortgage and shall bear interest at the Default Rate if not paid within ten (10) days after demand.

15.8 Interest Rate Limitation. Notwithstanding anything to the contrary in this Mortgage, the Note or any other Loan Document, in no event shall the aggregate interest and other charges that are treated as interest under applicable law exceed the maximum lawful rate permitted under applicable law. If any amount in excess of the maximum lawful rate is paid, collected, charged or received, then (a) that amount shall be deemed not to have been paid or charged, shall be automatically reduced to the maximum lawful rate, and shall be refunded to Mortgagor or credited against the principal balance of the Loan as Mortgagor may elect in writing, and (b) any provision of the Loan Documents that conflicts with this Section shall be deemed reformed to the extent necessary to comply with the maximum lawful rate. To the extent permitted by applicable law, all amounts that are treated as interest shall be amortized, prorated, allocated and spread over the full period of the Loan.

15.9 Payments Set Aside. To the extent that any payment received by Mortgagee is subsequently invalidated, declared to be fraudulent or preferential, set aside, rescinded or required to be repaid to a trustee, receiver, debtor in possession, creditor, estate or any other Person under any bankruptcy, insolvency, fraudulent conveyance or similar law or under any equitable cause, then, to the extent of such payment, the obligation intended to be satisfied shall be revived and continue in full force and effect as if such payment had never been received, and this Mortgage shall remain in full force and effect with respect to such revived obligation.

15.10 No Offset, Defense or Counterclaim. Mortgagor acknowledges that its obligations under the Loan Documents are absolute, unconditional and independent of any other agreement or circumstance, and Mortgagor waives, to the fullest extent permitted by applicable law, any right to assert any offset, defense, counterclaim, abatement, deduction or recoupment in any action to enforce this Mortgage or to collect the Indebtedness, except to the extent arising from Mortgagee’s gross negligence or willful misconduct as determined by a final, non-appealable judgment.

15.11 Benchmark Replacement. If Mortgagee determines in good faith that (a) Daily SOFR has been permanently or indefinitely discontinued or is no longer published or is otherwise unavailable, (b) the administrator of Daily SOFR or its supervisor has publicly announced that it will cease to provide Daily SOFR, or (c) Daily SOFR is no longer representative of the cost of overnight borrowing in the market, then Mortgagee may select a successor rate that is a forward-looking, risk-

free or other recognized replacement benchmark rate for Dollar-denominated syndicated or commercial real estate loans (including term SOFR, compounded SOFR in arrears or a successor publication recommended by a relevant governmental or regulatory authority or industry working group), together with any applicable spread adjustment, conforming changes to the interest calculation conventions and any technical or procedural amendments that Mortgagee determines are appropriate. Mortgagee shall give Mortgagor not less than fifteen (15) days' prior written notice of any such selection and conforming changes, and any such replacement shall be effected by an amendment to the Note executed by Mortgagor and Mortgagee; if Mortgagor fails to execute such amendment within ten (10) days after request, Mortgagee may make the replacement effective by written notice to Mortgagor, and Mortgagor shall be bound thereby.

15.12 Statements of Account. Mortgagee shall deliver to Mortgagor, upon Mortgagor's written request not more frequently than once per calendar quarter, a statement of the outstanding principal balance, accrued interest and other amounts due under the Loan. Mortgagee's books and records shall be presumptively correct absent manifest error.

ARTICLE 16 — PREPAYMENT

16.1 Lockout Period — No Prepayment. The Loan may not be prepaid in whole or in part at any time during the Lockout Period (the period from the Closing Date through the day immediately preceding the twenty-fourth (24th) monthly anniversary of the date of the Note). No voluntary prepayment of principal shall be permitted during the Lockout Period, and any attempted prepayment during the Lockout Period shall be void and of no effect and shall not discharge or reduce the Indebtedness; *provided* that the foregoing shall not limit the application of insurance proceeds or Condemnation awards in accordance with **Article 14**, which shall be applied at par without any prepayment premium, penalty or Yield Maintenance Premium.

16.2 Yield Maintenance Period. From the expiration of the Lockout Period through the forty-eighth (48th) monthly anniversary of the date of the Note (the "**Yield Maintenance Period**"), the Loan may be prepaid in whole, but not in part, upon not less than thirty (30) days' prior written notice to Mortgagee, and upon payment, in addition to all other amounts due, of a prepayment premium (the "**Yield Maintenance Premium**") equal to the greater of:

(a) one percent (1.00%) of the principal amount of the Loan being prepaid; and

(b) the excess, if any, of (i) the present value, discounted monthly at the Treasury Rate, of the aggregate interest that would have accrued on the principal amount being prepaid during the period from the date of prepayment through the last day of the Yield Maintenance Period, computed at the rate per annum equal to the Note rate in effect on the date of prepayment, over (ii) the present value, discounted monthly at the Treasury Rate, of the aggregate interest that would have accrued on such

principal amount during the same period, computed at a rate per annum equal to the Treasury Rate plus fifty (50) basis points (0.50%);

provided that the amount determined under this clause (b) shall in no event be less than zero, and shall be zero if the Note rate in effect on the date of prepayment is less than or equal to the Treasury Rate plus fifty (50) basis points.

For purposes of this Section 16.2: (i) the "**Treasury Rate**" means the yield to maturity, as of the second (2nd) Business Day preceding the date of prepayment, of the United States Treasury security having a maturity date closest to, but not exceeding, the last day of the Yield Maintenance Period, as reported in Federal Reserve Statistical Release H.15 — Selected Interest Rates (or any successor publication) under the heading "Treasury Constant Maturities"; if the last day of the Yield Maintenance Period does not correspond exactly to a published maturity, the Treasury Rate shall be determined by linear interpolation between the yields reported for the two nearest published maturities (or, if the last day of the Yield Maintenance Period is later than the longest published maturity, the yield on the longest published maturity); (ii) discounting shall be computed monthly using a periodic rate equal to the Treasury Rate divided by twelve (12) and the number of whole and partial months remaining in the Yield Maintenance Period; (iii) if the Treasury Rate is not published for the applicable date, the Treasury Rate shall be determined on the basis of the most recent publication available, as reasonably determined by Mortgagee; and (iv) Mortgagee's computation of the Yield Maintenance Premium shall be conclusive absent manifest error and shall be set forth in a written calculation delivered to Mortgagor not less than five (5) Business Days prior to the date of prepayment.

16.3 Open Prepayment Period. During the final twelve (12) months of the term of the Loan (that is, from and after the forty-eighth (48th) monthly anniversary of the date of the Note through the Maturity Date), the Loan may be prepaid in whole or in part at any time and from time to time, without payment of any prepayment premium, penalty or yield maintenance amount, upon not less than fifteen (15) days' prior written notice to Mortgagee.

16.4 Mechanics of Prepayment. Each notice of prepayment shall be in writing, shall be irrevocable, shall specify the date and amount of the prepayment, and shall be accompanied by the payment, on the date specified, of the principal amount being prepaid together with all accrued and unpaid interest on the amount prepaid, the Yield Maintenance Premium (if applicable), the Late Charge and all other amounts then due under the Loan Documents. No prepayment shall be made on a date other than a Payment Date, and no partial prepayment shall be permitted during the Lockout Period or the Yield Maintenance Period. Any partial prepayment permitted under **Section 16.3** shall be in a minimum amount of $500,000 and in increments of $100,000 in excess thereof. All partial prepayments shall be applied to the installments of principal in the inverse order of their maturity, shall not reduce the amount of any monthly installment of principal and interest, shall not change the amortization schedule, and shall not change the Maturity Date.

16.5 Involuntary Prepayments. Any application of insurance proceeds or Condemnation awards to the Indebtedness under **Article 14**, and any application of Escrow Funds, Rents or other Collateral to the Indebtedness at any time when no Event of Default has occurred and is continuing, shall be made at par, without any prepayment premium, penalty or Yield Maintenance Premium.

16.6 Prepayment After Acceleration. If Mortgagee accelerates the Indebtedness following an Event of Default and Mortgagor tenders payment of the entire Indebtedness, the Yield Maintenance Premium (computed as if the payment were a voluntary prepayment on the date of tender) shall be due and payable to the extent permitted by applicable law. Mortgagor acknowledges that the Yield Maintenance Premium is bargained-for consideration for the Loan and is not a penalty, and Mortgagor waives any right to assert that the Yield Maintenance Premium is unenforceable as a penalty, forfeiture or liquidated damages provision, except to the extent such waiver is prohibited by applicable law.

16.7 Nature of Premium. Mortgagor acknowledges that (a) the Yield Maintenance Premium is intended to compensate Mortgagee for the loss of its investment yield caused by an early repayment of the Loan; (b) the amount of such loss is difficult and impractical to ascertain and depends upon the movement of interest rates and market conditions after the date of this Mortgage; (c) the formula set forth in **Section 16.2** is a reasonable, objective, mathematically determinate method of estimating such loss; and (d) the Yield Maintenance Premium is not a penalty or a liquidated damages provision, but is consideration for the making of the Loan.

ARTICLE 17 — INDEMNITIES AND WAIVERS

17.1 General Indemnity. Mortgagor shall indemnify, defend and hold harmless Mortgagee and its directors, officers, employees, agents, attorneys and successors and assigns from and against any and all losses, liabilities, damages, costs, claims, demands, penalties, judgments, causes of action and expenses (including reasonable attorneys’ fees, expert fees and costs of investigation and defense) arising out of or relating to (a) the ownership, operation, maintenance, renovation, repair, use, occupancy, leasing or condition of the Property, including any claim by any Tenant, contractor, invitee or other Person; (b) any breach or inaccuracy of any representation, warranty, covenant or agreement of Mortgagor contained in this Mortgage or any other Loan Document; (c) any claim arising from the assertion that Mortgagor was not authorized to grant this Mortgage or to assign the Rents; (d) any construction defect, mechanic’s lien claim, delay, cost overrun or other matter relating to the Project or the GC Contract; (e) any claim relating to the Land Use Restriction, the vapor barrier or the Controlled Recognized Environmental Condition described in Recital E; and (f) any act or omission of Mortgagor, any Related Entity, any Tenant or any contractor at the Property; *provided* that Mortgagor shall not be obligated to indemnify Mortgagee for losses to the extent resulting from Mortgagee’s gross negligence or willful misconduct as determined by a final, non-appealable judgment.

17.2 Environmental Indemnity. Without limiting **Section 17.1** or **Section 7.6**, Mortgagor and Guarantor shall indemnify, defend and hold harmless Mortgagee

from and against all liabilities, losses, damages, costs and expenses (including reasonable attorneys' fees and consultant fees) arising from or relating to the presence, release, threatened release, disposal or migration of Hazardous Materials at, on, under, from or migrating to or from the Property, and from any violation of or liability under any Environmental Law or the Land Use Restriction, in each case as more particularly provided in the Environmental Indemnity Agreement, which obligations shall survive repayment of the Loan, foreclosure, the acceptance of a deed in lieu of foreclosure and the release of this Mortgage.

17.3 Duty to Defend. Mortgagor shall, at its sole cost and expense, defend (with counsel reasonably acceptable to Mortgagee) any claim, action or proceeding covered by this Article 17, and Mortgagee may, at Mortgagor's expense, participate in the defense. Mortgagor shall not settle any such claim in a manner that adversely affects Mortgagee without Mortgagee's prior written consent.

17.4 Waivers. To the fullest extent permitted by applicable law, Mortgagor waives (a) any right to require Mortgagee to marshal assets or to proceed against any other Person or property before proceeding against the Property or any Collateral; (b) presentment, demand, protest, notice of dishonor, notice of nonpayment, notice of intention to accelerate, notice of acceleration and all other notices of any kind, except as expressly required by this Mortgage; (c) any right of appraisement, valuation, stay, extension, homestead, exemption or redemption to the extent applicable to the Property or to any sale thereof; (d) any defense based on any statute of limitations or on any claim that Mortgagee's remedies are barred or limited by any anti-deficiency or one-action rule (other than as expressly provided in **Section 18.14**); and (e) any right to assert that the Property constitutes the primary asset of Mortgagor or that any other security should be exhausted first. Mortgagor acknowledges that the waivers in this Section 17.4 are a material inducement to Mortgagee to make the Loan.

17.5 Survival. The indemnities, waivers and obligations in this Article 17 shall survive the closing of the Loan, the repayment of the Indebtedness, the release of this Mortgage, foreclosure and the acceptance of a deed in lieu of foreclosure.

ARTICLE 18 — NOTICES, GOVERNING LAW AND MISCELLANEOUS

18.1 Notices. All notices, demands, consents, approvals, waivers and other communications under this Mortgage shall be in writing and shall be deemed duly given: (a) when delivered personally; (b) one (1) Business Day after deposit with a nationally recognized overnight courier, with charges prepaid; (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid; or (d) when sent by electronic mail (provided that any notice of default, acceleration or exercise of remedies sent by electronic mail shall also be sent by one of the methods described in clause (a), (b) or (c)), in each case addressed as follows:

If to Mortgagee:	**If to Mortgagor:**
Calverley Heritage Bank	Palmetto Gateway Partners LLC

If to Mortgagee:	If to Mortgagor:
412 Whitaker Street	88 Broad Street, Suite 200
Savannah, Georgia 31401	Charleston, South Carolina 29401
Attention: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending	Attention: Neil Ashford Graydon, Managing Member of Graydon Development Group LLC
Email: mprideaux@coastalheritagebank.com	Email: [to be confirmed]
With a copy to:	**With a copy to:**
Fielding, Ashworth & Cole LLP	Cartwright & Lyons LLP
Attention: Catherine “Kit” Ashworth, Partner	Attention: [matter counsel]
Email: [to be confirmed]	Email: [to be confirmed]

or to such other address as a party may designate by notice given in accordance with this Section. Notice of a change of address shall be effective only upon actual receipt.

18.2 Governing Law. This Mortgage shall be governed by and construed in accordance with the laws of the State of South Carolina, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction.

18.3 Jurisdiction and Venue. Mortgagor irrevocably submits to the non-exclusive jurisdiction of the courts of the State of South Carolina sitting in Charleston County and of the United States District Court for the District of South Carolina for the purpose of any action or proceeding arising out of or relating to this Mortgage, and irrevocably waives any objection to venue in those courts and any claim that any such action or proceeding has been brought in an inconvenient forum. Nothing in this Section shall limit Mortgagee’s right to bring an action in any other court of competent jurisdiction, including any court in which the Property is located or in which Mortgagor or Guarantor may be found.

18.4 Waiver of Jury Trial. TO THE EXTENT PERMITTED BY APPLICABLE LAW, MORTGAGOR AND MORTGAGEE EACH KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION, PROCEEDING OR COUNTERCLAIM ARISING OUT OF OR RELATING TO THIS MORTGAGE, THE OTHER LOAN DOCUMENTS, THE LOAN OR THE PROPERTY. THIS WAIVER IS A MATERIAL INDUCEMENT TO MORTGAGEE TO MAKE THE LOAN, AND MORTGAGOR ACKNOWLEDGES THAT IT HAS HAD THE OPPORTUNITY TO CONSULT WITH COUNSEL REGARDING THIS WAIVER.

18.5 Recording; Recording Taxes. Mortgagor shall cause this Mortgage to be recorded in the RMC Office, and shall cause the UCC-1 Financing Statement to be filed with the South Carolina Secretary of State and recorded as a fixture filing in the RMC Office, in each case on or promptly after the Closing Date, and shall pay all recording fees and all South Carolina documentary stamp taxes, deed recording fees and mortgage recording fees payable in connection therewith as provided in **Section 15.7**. Mortgagor shall deliver to Mortgagee, promptly after recording, the recorded original (or a certified copy) of this Mortgage, together with evidence of the payment of all recording taxes and fees.

18.6 No Merger; Reinstatement. This Mortgage shall not merge into any judgment, decree of foreclosure, deed in lieu of foreclosure or other instrument, and shall remain in full force and effect until released of record by Mortgagee. If Mortgagee is required to release this Mortgage or to surrender any instrument evidencing the Indebtedness, this Mortgage and the Indebtedness shall be reinstated as provided in **Section 15.9**.

18.7 Amendments; Entire Agreement. This Mortgage may be amended, modified, supplemented or waived only by a written instrument signed by Mortgagor and Mortgagee. This Mortgage, together with the other Loan Documents, constitutes the entire agreement between Mortgagor and Mortgagee with respect to the Property and the Loan and supersedes all prior agreements, understandings and negotiations, whether written or oral, relating thereto (including, to the extent of any inconsistency, the Term Sheet, which this Mortgage supersedes as between the parties in accordance with Section 14.3 of the Term Sheet and **Section 1.2**).

18.8 Successors and Assigns; No Third-Party Beneficiaries. This Mortgage shall be binding upon and shall inure to the benefit of Mortgagor, Mortgagee and their respective permitted successors and assigns. Mortgagee may assign, sell, participate or otherwise transfer all or any portion of the Loan and this Mortgage, and Mortgagor shall cooperate with Mortgagee in connection with any such transfer, including by executing customary estoppel certificates and confirmations. Mortgagor may not assign this Mortgage or any of its rights hereunder without Mortgagee's prior written consent. No Person other than Mortgagor and Mortgagee (and Mortgagee's permitted successors and assigns) shall have any rights as a third-party beneficiary of this Mortgage, except that Guarantor shall be a third-party beneficiary of **Section 18.14**.

18.9 Severability. If any provision of this Mortgage is held to be invalid, illegal or unenforceable in any respect, that provision shall be enforced to the maximum extent permitted by applicable law, and the invalidity, illegality or unenforceability of that provision shall not affect any other provision of this Mortgage, which shall remain in full force and effect.

18.10 Counterparts; Electronic Signatures. This Mortgage may be executed in one or more counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format (PDF) or other electronic means shall be deemed original signatures for all purposes, *provided* that a manually executed and acknowledged original of this Mortgage shall be delivered for recording.

18.11 Time of the Essence. Time is of the essence with respect to each obligation of Mortgagor under this Mortgage.

18.12 Interpretation; No Presumption Against Drafter. This Mortgage has been prepared by counsel for Mortgagee and reviewed by counsel for Mortgagor, and shall be construed according to the fair meaning of its terms and without any presumption against either party as the drafter. The parties acknowledge that

Mortgagor has been represented by counsel of its choosing in connection with the negotiation and execution of this Mortgage.

18.13 Lender's Regulatory Disclosures. Mortgagee may be required under applicable law, regulation or regulatory examination or supervisory process to disclose information relating to the Loan, Mortgagor, Guarantor or the Property to its regulators, auditors, accountants, insurers, reinsurers, rating agencies, servicers, subservicers, trustees, depositories, investors, prospective assignees and participants, and Mortgagee may make such disclosures without Mortgagor's consent, *provided* that Mortgagee shall (except as required by law or in connection with a supervisory request) use commercially reasonable efforts to require the recipient to maintain the confidentiality of non-public information.

18.14 Non-Recourse; Carve-Outs. Except as expressly provided in this Section 18.14, Mortgagee's recourse for the payment of the Indebtedness shall be limited to the Property and the other Collateral, and Mortgagor shall not be personally liable for any deficiency. Notwithstanding the foregoing, Mortgagor shall be fully and personally liable for the entire Indebtedness (and the limitation in this Section shall be of no force or effect), and Guarantor shall be fully liable therefor under the Guaranty Agreement, if any of the following "**Carve-Out Events**" occurs: (a) fraud or intentional misrepresentation by Mortgagor, Guarantor or any Related Entity, or any breach of the representations in Section 6.12, 6.13 or 6.14; (b) misapplication or misappropriation of Rents, security deposits, insurance proceeds, Condemnation awards or Escrow Funds; (c) any voluntary petition in bankruptcy or insolvency filed by or on behalf of Mortgagor, or any collusive involuntary petition, or any action taken to authorize any of the foregoing; (d) environmental liability arising from the acts or omissions of Mortgagor, Guarantor or their respective agents, or any breach of **Section 7.6**; (e) any Transfer in violation of **Section 7.5**; and (f) any breach of the SPE Covenants in **Section 7.4**. In addition, and without making the Loan recourse generally, Mortgagor shall be liable to Mortgagee, on an "actual loss" basis (and not for the entire Indebtedness), for (i) failure to maintain the insurance required by **Article 8**, (ii) physical waste of the Property, (iii) failure to pay Impositions when due, (iv) failure to deliver Rents or other Collateral to Mortgagee as required following an Event of Default, and (v) any litigation costs or unpaid attorneys' fees described in **Section 13.11**. Nothing in this Section 18.14 shall limit (A) Mortgagee's rights against the Property, the Collateral or any guarantor, (B) any right or remedy of Mortgagee under the Environmental Indemnity Agreement, or (C) the Completion Guaranty.

18.15 Confirmatory Instruments. Mortgagor shall, within ten (10) Business Days after Mortgagee's written request, execute, acknowledge and deliver to Mortgagee (a) an estoppel certificate confirming the outstanding principal balance, accrued interest, the status of this Mortgage and the absence of defenses; (b) a subordination, assignment or consent required under any Lease; (c) a financing statement, continuation statement or amendment; and (d) such other instruments as Mortgagee may reasonably require to evidence, confirm or perfect its rights under the Loan Documents.

18.16 Special South Carolina Provisions. Mortgagor acknowledges that (a) this Mortgage is intended to be, and shall be construed as, a mortgage of real property

under the laws of the State of South Carolina; (b) foreclosure shall be by judicial proceedings in accordance with **Section 13.2**, and this Mortgage grants no power of sale; (c) the Assignment of Rents set forth in **Article 5** is intended to be an absolute assignment of rents under the Uniform Assignment of Rents Act, Chapter 3, Title 29 of the South Carolina Code of Laws, as amended, and shall be enforced in accordance with that Act; (d) this Mortgage is intended to be recordable in the RMC Office, and Mortgagor shall execute and deliver such acknowledgments, affidavits, witness attestations and notarial certificates as are required for recording; and (e) to the extent any provision of this Mortgage conflicts with any non-waivable statutory right of Mortgagor under South Carolina law, such statutory right shall control, and this Mortgage shall be construed so as to preserve to Mortgagee the maximum rights and remedies permitted by law.

18.17 Additional Mortgagor Covenants Regarding Notices. Mortgagor shall promptly deliver to Mortgagee a copy of each notice, correspondence, order, citation or communication received from the City of Charleston, Charleston County, SCDHEC, the Title Insurer or any Tenant relating to (a) the Land Use Restriction or the environmental condition described in Recital E, (b) any violation or claimed violation of any law affecting the Property, (c) the balcony encroachment described in **Section 7.16**, (d) any claim under any Lease, or (e) any claim under the Title Policy.

18.18 Enforcement by Mortgagee's Agents. Mortgagee may exercise any right or remedy under this Mortgage through its agents, servicers, subservicers, attorneys, receivers or nominees, and Mortgagor shall recognize any such Person designated by Mortgagee in writing as entitled to exercise Mortgagee's rights.

SIGNATURE AND ACKNOWLEDGMENT

IN WITNESS WHEREOF, Mortgagor has executed this Mortgage and Security Agreement under seal as of the ____ day of April, 2025, to be effective as of the Closing Date.

MORTGAGOR:

PALMETTO GATEWAY PARTNERS LLC, a South Carolina limited liability company

By: **GRAYDON DEVELOPMENT GROUP LLC**, a South Carolina limited liability company, its Managing Member

By: _____

Name: Neil Ashford Graydon

Title: Sole Member and Manager of Graydon Development Group LLC, Managing Member

Date: _____

(SEAL)

WITNESSES AS TO MORTGAGOR:

Witness 1: _____

Witness 2: _____

ACCEPTED AND AGREED:

MORTGAGEE:

CALVERLEY HERITAGE BANK, a Georgia state-chartered commercial bank

By: _____

Name: Marcus Prideaux

Title: Senior Vice President — Commercial Real Estate Lending

Date: _____

ACKNOWLEDGMENT

STATE OF SOUTH CAROLINA

COUNTY OF CHARLESTON

I, the undersigned Notary Public, do hereby certify that Neil Ashford Graydon personally appeared before me this day and acknowledged that he is the Sole Member and Manager of Graydon Development Group LLC, a South Carolina limited liability company, which is the Managing Member of Palmetto Gateway Partners LLC, a South Carolina limited liability company, and that he, being duly

authorized, executed the foregoing instrument for and on behalf of Palmetto Gateway Partners LLC as its act and deed.

Witness my hand and official seal this ____ day of _____, 2025.

_____

Notary Public for South Carolina

My Commission Expires: _____

(Notarial Seal)

Drafting note: the Title Insurer and the recording office should confirm the acknowledgment, witness attestation and "prepared by" information required for recordation in Charleston County, and this instrument should be conformed to those requirements before execution.

EXHIBIT A — LEGAL DESCRIPTION OF THE LAND

PARCEL ONE (Lots 7, 8 and 9, Hampstead Village Plat)

ALL that certain piece, parcel or lot of land, together with the improvements thereon, situate, lying and being in the City of Charleston, County of Charleston, State of South Carolina, being shown and designated as **Lots 7, 8 and 9 of the Hampstead Village Plat**, as recorded in Plat Book 41 at Page 218, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, and having such shapes, metes, bounds and measurements as shown on said plat, reference to which is hereby made for a more complete and accurate description thereof.

Being commonly known as 520–534 King Street, Charleston, South Carolina 29403.

Tax Map Nos.: 460-12-04-007 (Lot 7), 460-12-04-008 (Lot 8) and 460-12-04-009 (Lot 9).

PARCEL TWO (Vacated Anson Lane Strip)

TOGETHER WITH that certain strip or parcel of land formerly constituting a portion of Anson Lane, a public street, which was vacated and closed by the City of Charleston pursuant to Ordinance No. 2019-084, and conveyed to the predecessor in title by that certain Quitclaim Deed recorded in Deed Book 1128 at Page 443, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, said strip being adjacent to and contiguous with Lot 7 of the Hampstead Village Plat, as more particularly described and shown on the plat prepared by Cartwright Land Surveying LLC dated January 15, 2025, recorded in Plat Book 64 at Page 91, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

Tax Map Nos.: 460-12-04-007, 460-12-04-008 and 460-12-04-009.

BEING the same property conveyed to Mortgagor by that certain General Warranty Deed from Hampstead Village Holdings LLC, a South Carolina limited liability company, to be recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina simultaneously with the recording of this Mortgage.

Note: This Exhibit A has been conformed to the description appearing in Schedule A of Title Commitment No. PT-2025-04-1178. The metes and bounds description of each parcel and of the vacated Anson Lane strip, as certified on the ALTA/NSPS Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025 (re-certified to a date within ninety (90) days of the Closing Date), shall be inserted in this Exhibit A prior to recording, and the description as so inserted in the recorded instrument shall control. The description of Parcel Two must be confirmed to include the entire vacated strip and must be covered without a carve-out exception by the Title Policy.

EXHIBIT B — PERMITTED EXCEPTIONS

The Lien of this Mortgage is subject only to the following matters (each as approved by Mortgagee in writing and, except for the printed exceptions of the ALTA Loan Policy, as insured in the Title Policy issued at closing). Mortgagor acknowledges that Mortgagee has not approved, and shall not be deemed to have approved, any matter not listed in this Exhibit B or any general or blanket exception that is not limited in the manner described below.

No.	Permitted Exception
1	Real property taxes for the year 2025 and subsequent years on Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, County of Charleston, State of South Carolina, not yet due and payable (Title Commitment Exception 2).
2	Easement in favor of South Carolina Electric & Gas for the installation, maintenance, repair and replacement of underground utility lines, granted by that certain instrument recorded in Deed Book 987 at Page 112, RMC Office for Charleston County, affecting the westerly boundary of Lot 9 (Title Commitment Exception 3).
3	Land use restriction and institutional control recorded in Deed Book 1203 at Page 89, RMC Office for Charleston County, imposed by SCDHEC (Site ID SC-29403-0772), prohibiting residential use of the ground floor of Lot 7 and requiring maintenance and periodic inspection of the vapor barrier beneath the slab of the ground-floor commercial space on Lot 7, together with all obligations described in **Exhibit E** and **Section 7.6** (Title Commitment Exception 4).
4	Rights of tenants in possession under the Leases identified in the Rent Roll attached as **Exhibit D**, as tenants only, without any option to purchase or right of first refusal to purchase the Land, except for the right of first refusal in favor of Harmon & Wren Design Studio LLC with respect to Bay 2 as disclosed in **Exhibit D** (Title Commitment Exception 6).
5	Encroachment of the decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the building over and across the King Street public right-of-way, as shown on the Survey, but only to the extent (a) covered by the survey/encroachment endorsement (ALTA Endorsement 28.1 or equivalent) required by Mortgagee, and (b) authorized by a valid encroachment license, permit or franchise from the City of Charleston or, if no such authorization is obtainable, approved by Mortgagee in writing after review of the Title Insurer's and the appraiser's recommendations (Title Commitment Exception 5).
6	Matters shown on the plat recorded in Plat Book 41 at Page 218, RMC Office for Charleston County, **limited to** setback lines, rights-of-way, drainage easements and notations that are shown on the Survey and are approved in writing by Mortgagee; Mortgagee does not approve any general or blanket reference to the plat that is not so limited (Title Commitment Exception 7).

Standard and printed exceptions. Mortgagee does not approve, and the Title Policy shall not include (as exceptions to the Lien of this Mortgage), the standard printed exceptions identified in Schedule B, Part II of Title Commitment No. PT-2025-04-1178 as Exceptions 1(a) through 1(e), except to the extent the Title Insurer is permitted to retain the same after delivery of the ALTA/NSPS Survey, the owner's affidavit of possession and no-survey, gap indemnities and lien waivers required by Requirements 9 and 12 of the Title Commitment. The gap exception (Exception 1(a)) shall be addressed by a gap indemnity or by a "date-down and disbursement" undertaking of the Title Insurer at closing acceptable to Mortgagee.

Note: any exception that is not removed at closing, or that differs from the matters listed above, requires Mortgagee's written approval. The Title Policy shall include the endorsements required by Section 5.6 of the Term Sheet, including the zoning, access, survey, comprehensive, future advance and contiguity endorsements, and (if obtainable) a survey/encroachment endorsement with respect to Exception 5 above.

EXHIBIT C — APPROVED RENOVATION BUDGET AND DRAW SCHEDULE

Part 1 — Approved Renovation Budget

Line Item	Description	Total Budget	Renovation Holdback (Lender)	Borrower Equity
1.0	HVAC replacement (rooftop units, ductwork, controls) — GC Contract	$1,200,000	$850,000	$350,000
2.0	Elevator modernization — GC Contract	$475,000	$375,000	$100,000
3.0	Façade restoration (incl. decorative ironwork and balcony) — GC Contract	$625,000	$425,000	$200,000
4.0	Tenant improvement allowances (Bay 2 and 2nd Floor Suite B) — GC Contract	$550,000	$450,000	$100,000
5.0	Soft costs, permitting, inspections and contingency (outside GC Contract)	$300,000	$150,000	$150,000
	Total Renovation Budget	**$3,150,000**	**$2,250,000**	**$900,000**
	Percentage of budget	*100.00%*	*71.43%*	*28.57%*

Notes: Items 1.0 through 4.0 constitute the GC Contract hard-cost scope in the aggregate amount of $2,850,000 with Beaufort Builders Group LLC (SC License No. SC-GC-47921). Item 5.0 ($300,000, comprising $200,000 of soft costs and $100,000 of contingency) is outside the GC Contract. The Renovation Holdback available for GC Contract hard costs is $2,100,000, being the $2,250,000 Renovation Holdback less the $150,000 allocated to line item 5.0.

Part 2 — Draw Schedule (Indicative)

Month	Approx. Date	Lender Draw	Borrower Equity	Cumulative Lender	Cumulative Equity	Cumulative Total
1	May 15, 2025	$25,000	$75,000	$25,000	$75,000	$100,000
2	June 15, 2025	$165,000	$90,000	$190,000	$165,000	$355,000
3	July 15, 2025	$250,000	$100,000	$440,000	$265,000	$705,000
4	August 15, 2025	$235,000	$90,000	$675,000	$355,000	$1,030,000
5	September 15, 2025	$235,000	$85,000	$910,000	$440,000	$1,350,000
6	October 15, 2025	$285,000	$100,000	$1,195,000	$540,000	$1,735,000
7	November 15, 2025	$285,000	$60,000	$1,480,000	$600,000	$2,080,000
8	December 15, 2025	$240,000	$70,000	$1,720,000	$670,000	$2,390,000
9	January 15, 2026	$160,000	$70,000	$1,880,000	$740,000	$2,620,000
10	February 15, 2026	$130,000	$70,000	$2,010,000	$810,000	$2,820,000
11	March 15, 2026	$110,000	$40,000	$2,120,000	$850,000	$2,970,000
12	April 15, 2026	$65,000	$30,000	$2,185,000	$880,000	$3,065,000
13	May 15, 2026	$50,000	$10,000	$2,235,000	$890,000	$3,125,000
14	June 15, 2026	$15,000	$10,000	$2,250,000	$900,000	$3,150,000
	Total	**$2,250,000**	**$900,000**			**$3,150,000**

The Draw Schedule is indicative only and is provided for purposes of **Section 10.2(d)** and **Section 10.7**. Mortgagor has been advised that (a) the schedule submitted by Mortgagor aggregated $905,000 of Borrower Equity and $3,155,000 of total costs, and has been conformed to the $900,000 and $3,150,000 amounts above solely for illustrative purposes, and (b) no Draw will be made unless the ratio test in **Section 10.2(d)** is satisfied.

EXHIBIT D — RENT ROLL AND SCHEDULE OF LEASES

Rent roll and lease abstracts dated March 1, 2025, as certified by Mortgagor. Occupancy: 17,400 of 31,000 leasable square feet (56.13% by area; 3 of 5 units occupied). Total in-place annual base rent: $415,100 ($34,591.67 per month); weighted average in-place rent of $23.86 per square foot on occupied space. Total security deposits held: $69,183.

Unit	Floor / Use	Leasable SF	Tenant	Lease Type	Commencement	Expiration
Bay 1	Ground / Retail	3,800	Lowcountry Provisions Inc.	NNN	Jan. 1, 2023	Dec. 31, 2027
Bay 2	Ground / Retail	3,800	— VACANT —	—	—	—
Bay 3	Ground / Retail	3,800	Harmon & Wren Design Studio LLC	Modified Gross	July 1, 2021	June 30, 2026
2nd Fl. Suite A	Office	9,800	Tidemark Consulting Group LLC	NNN	Apr. 1, 2024	Mar. 31, 2029
2nd Fl. Suite B	Office	9,800	— VACANT —	—	—	—
Total	**3 of 5 units occupied**	**31,000**				

Unit	Rent/SF	Annual Base Rent	Monthly Base Rent	Security Deposit
Bay 1 — Lowcountry Provisions Inc.	$28.50	$108,300	$9,025.00	$18,050
Bay 2 — vacant	—	—	—	—
Bay 3 — Harmon & Wren Design Studio LLC	$24.00	$91,200	$7,600.00	$15,200
2nd Fl. Suite A — Tidemark Consulting Group LLC	$22.00	$215,600	$17,966.67	$35,933
2nd Fl. Suite B — vacant	—	—	—	—
Total (occupied space)	**$23.86 avg.**	**$415,100**	**$34,591.67**	**$69,183**

Part 2 — Material Lease Provisions

Provision	Bay 1 — Lowcountry Provisions Inc.	Bay 3 — Harmon & Wren Design Studio LLC	Suite A — Tidemark Consulting Group LLC
Rent escalation	3% annually each January 1 (Jan. 2025: $29.36/SF; Jan. 2026: $30.24/SF; Jan. 2027: $31.14/SF)	2.5% annually each July 1	2.5% annually each April 1, beginning April 1, 2026
Renewal option	One 5-year option; 9 months’ notice (deadline Mar. 31, 2027); FMV with floor at then-current rent	One 3-year option; 6 months’ notice (deadline Dec. 31, 2025); 95% of FMV	Two 3-year options; 12 months’ notice (first deadline Mar. 31, 2028); FMV
Assignment / subletting	**No provision** — lease is silent	Consent required, not unreasonably withheld; subletting up to 50% with notice	Consent required, in landlord’s sole discretion; subletting with consent

Provision	Bay 1 — Lowcountry Provisions Inc.	Bay 3 — Harmon & Wren Design Studio LLC	Suite A — Tidemark Consulting Group LLC
Estoppel obligation	**None**	15 business days after request	10 business days after request
Subordination / SNDA	**None** — lease is silent	Subordinate to any mortgage, conditioned on commercially reasonable non-disturbance agreement	Subordinate to any mortgage; agrees to execute SNDA on request
Right of first refusal / offer	None	**ROFR on Bay 2**; 15 business days to accept or decline; survives renewal	None
Tenant termination right	None	Early termination effective June 30, 2025 on 3 months' rent and 6 months' notice; **notice deadline Dec. 31, 2024 has passed without exercise**	None
Exclusivity / co-tenancy	Exclusive use as specialty grocery; no co-tenancy	None	None
Hazardous materials	Customary prohibition	Customary prohibition	Customary prohibition
Memorandum of lease recorded	No	No	No

EXHIBIT E — SCDHEC LAND USE RESTRICTION AND COMPLIANCE PROTOCOL

Part 1 — The Land Use Restriction

The land use restriction and institutional control recorded in Deed Book 1203 at Page 89, RMC Office for Charleston County, South Carolina, was imposed by SCDHEC as a condition of its No Further Action determination dated August 12, 2021 for SCDHEC Site ID SC-29403-0772, relating to a historical release of perchloroethylene and petroleum-based solvents from the former dry-cleaning operation at the adjoining property municipally known as 518 King Street. The Land Use Restriction runs with the land and binds all current and future owners, tenants, lessees, successors and assigns of Lot 7 (Tax Map No. 460-12-04-007). It imposes two obligations:

Requirement	Description
(a) Prohibition on residential use	The ground floor of Lot 7 (comprising Bay 1, 520 King Street, approximately 3,800 square feet) shall not be converted to or used for residential purposes. Current use as a specialty grocery is consistent with the restriction.
(b) Vapor barrier maintenance	The owner must maintain, in good condition and working order, the vapor barrier system installed beneath the concrete floor slab of Bay 1. The vapor barrier shall not be penetrated, removed or compromised without SCDHEC's prior written approval. Any renovation, construction, demolition or alteration affecting the Bay 1 floor slab must include inspection and, if necessary, repair or replacement of the vapor barrier, with prior written notification to SCDHEC.

The No Further Action determination is contingent upon continued compliance with these institutional controls. Non-compliance may result in SCDHEC reopening the site for additional investigation, remediation or other regulatory action at the expense of the then-current owner.

Part 2 — Pre- and Post-Closing Compliance Protocol (incorporated into Section 7.6)

Step	Action	Timing	Section Reference
1	Deliver complete copy of the SCDHEC remediation file for Site ID SC-29403-0772, including sampling data, remediation reports, monitoring results and the No Further Action letter with all conditions and attachments	Condition precedent to closing	Term Sheet §12.1(c); Section 7.6(b)
2	Qualified, licensed environmental professional to inspect and confirm the integrity of the vapor barrier beneath the Bay 1 slab	Prior to, or promptly following, closing	Section 7.6(c)(vii)
3	Written notice to Beaufort Builders Group LLC and each other contractor of the vapor barrier's existence and location and of the Land Use Restriction requirements; express compliance covenant incorporated into the GC Contract	Prior to commencement of any work at the Property	Section 7.6(c)(iv)
4	Prior written notice to SCDHEC and Mortgagee of any work that penetrates, disturbs or may compromise the Bay 1 slab	Before such work begins, and before any related Draw	Section 7.6(c)(iii); Section 10.2(g)

Step	Action	Timing	Section Reference
5	Environmental professional’s pre- and post-work certification that the vapor barrier remains intact and effective (or has been repaired or replaced in accordance with SCDHEC requirements)	Before any related Draw	Section 7.6(c)(iii); Section 10.3
6	Annual certificate of Mortgagor and compliance report of a licensed environmental professional confirming no residential use, barrier integrity, full compliance with the Land Use Restriction and no notice of violation or site reopening	Annually within 30 days after year end	Section 7.6(c)(vii); Section 7.9(g)
7	Immediate notice to Mortgagee of any violation, notice of violation, regulatory action, reopening of the SCDHEC site file, or any proposed amendment, modification, termination or release of the Land Use Restriction	Within 3 Business Days of knowledge	Section 7.6(b); Section 7.6(c)(v); Section 7.6(c)(vi)
8	Event of Default (no notice, no cure) upon any failure to comply with the Land Use Restriction, any residential use of the ground floor of Lot 7, any penetration or compromise of the vapor barrier without satisfying Step 4 and Step 5, or any amendment, modification, termination or release of the Land Use Restriction	On occurrence	Section 7.6(c); Section 12.1(k); Section 12.2(c)

Part 3 — Related Environmental Matters

Matter	Information
Phase I ESA	Clearfield Environmental Consulting LLC, Report No. CLR-2025-0119, dated January 28, 2025, prepared in accordance with ASTM E1527-21
Findings	No Recognized Environmental Conditions; no Historical Recognized Environmental Conditions; one Controlled Recognized Environmental Condition (Lot 7); no de minimis conditions; no significant data gaps
Phase II	Not recommended by Clearfield. Mortgagee waived the Phase II requirement by correspondence dated January 22, 2025
Flood zone	FEMA Flood Zone X (minimal flood hazard). Flood insurance of not less than $5,000,000 is nevertheless required under Section 8.1(c)
Environmental Indemnity Agreement	Executed by Mortgagor and Guarantor, addressing the Controlled Recognized Environmental Condition, the vapor barrier maintenance obligation, compliance with the Land Use Restriction and the indemnity obligations described in Article 17

End of Mortgage and Security Agreement